

Intact Insurance Company
700 University Avenue, Suite 1500
Toronto, ON M5G 0A1

Insured name and postal address

Tigercat International Inc. et al
200 Avenue Road
Cambridge, ON N1R 8H5

Broker 33571

Aon Reed Stenhouse Inc.
20 Bay Street Toronto, Ontario
M5J 2N9
Phone No. 416 868 5500

General Information

Intact Insurance Company hereinafter called the Insurer.

Type of Document	RENEWAL
Policy Period	From October 31, 2024 To October 31, 2025 12:01 A.M. local time at the postal address of the Insured shown above
Insured's Business Operations	MFG./PROC.
Combined Policy Limit*	\$75,000,000 <i>*Includes Property Damage, any applicable Business Interruption and Spoilage endorsements</i>
Billing Method	Agency Bill
Total Policy Premium \$28,088	

Save paper, add convenience!
Ask your broker to send your insurance documents electronically.



This policy contains a clause(s) that may limit the amount payable

In consideration of the Premium stated, the Insurer will indemnify the Insured with the Terms and Conditions of this Policy.

This Policy is issued subject to the Declaration Page(s), Coverage Agreements, Exclusions, Definitions, Conditions, and Limits as well as the Riders, Endorsements or Amendments brought to this Policy which may from time to time be added to form part of this Policy.

Whenever used in the Declaration Page(s) or in the Forms and Endorsements forming part of this insurance contract, the expression "Policy" means this/these Declaration Page(s) and all the Forms, Riders, Endorsements and Amendments brought to this Policy forming part of this insurance contract for each Coverage.

Notwithstanding any contrary provision, the Coverage provided under any Form or Endorsement attached to this Policy does not extend to any other Form or Endorsement, unless such Form or Endorsement specifies that its Coverage extends and applies to this other Form or Endorsement.

In accepting this Policy, the Insured and the Beneficiary, if any, recognize that from the effective date of this Policy, any previous policy stated in the Declaration Page(s) is replaced by this Policy, including all renewals attaching thereto.

CANCELLATION

In consideration of the return premium, if any, this Policy and Renewal (if any) are cancelled and surrendered to the Insurer.

Date of Cancellation (Day, month, year): _____

Reason: _____

Signature: _____
Insured Date

Location 1

Address 200 Avenue Road
Cambridge, ON N1R 8H5

Occupancy [rlty] Building Owner - Office Buildings - 10 storeys or less - Various tenants

Coverage	Form	Coinsurance %	Deductible \$	Limit of Insurance \$
Equipment Breakdown Elite	BM61-2			
Equipment Breakdown Elite - Property Damage - Including Production Machines Valuation: Replacement Cost			2,500	Combined Policy Limit
Equipment Breakdown Elite - Property Damage - Production Machines Deductible Valuation: Replacement Cost			5,000	
Extension of Coverage - Ammonia Contamination				500,000
Extension of Coverage - Brands and Labels				Included
Extension of Coverage - By-laws				Included
Extension of Coverage - Course of Construction - Renovations				100,000
Extension of Coverage - Environmental "Green" Improvements				250,000
Extension of Coverage - Errors or Omissions				5,000,000
Extension of Coverage - Expediting Expenses				Included
Extension of Coverage - Hazardous Substances				1,000,000
Extension of Coverage - Loss of Data				100,000
Extension of Coverage - New Acquisitions - Business Interruption				5,000,000
Extension of Coverage - New Acquisitions - Property Damage				Included
Extension of Coverage - Off Premises Portable Objects				25,000
Extension of Coverage - Professional Fees				Included
Extension of Coverage - Public Relations				25,000
Extension of Coverage - Research and Development				100,000
Extension of Coverage - Selling Price				Included
Extension of Coverage - Service Interruption				Included
Extension of Coverage - Water Damage				1,000,000
Equipment Breakdown Elite - Business Interruption - Loss of Profits Indemnity Period: 12 Months	BM63-1			5,883,984

Location 1

Coverage	Form	Coinsurance	Deductible	Limit of Insurance
		%	\$	\$
Production Machinery Waiting Period: 48 Hours Waiting Period: 24 Hours				
Equipment Breakdown Elite - Business Interruption - Extra Expense Production Machinery Waiting Period: 48 Hours Waiting Period: 24 Hours	BM64-1			1,000,000
Equipment Breakdown Elite - Spoilage Damage Specified Property: Products Under Refrigeration	BM65-1		5,000	500,000
Equipment Breakdown Elite - Business Interruption - Contingent Business Interruption Production Machinery Waiting Period: 48 Hours Waiting Period: 24 Hours	BM69-1			500,000

Miscellaneous

Coverage	Form	Coinsurance %	Deductible \$	Limit of Insurance \$
RSA Conversion Endorsement Difference in Conditions, Deductible Amounts and Limits of Insurance - Equipment Breakdown Elite	G063-1			
BM61 - Equipment Breakdown Elite - Named Insured Endorsement	GE0001			
BM61 - Equipment Breakdown Elite - Extension of Coverage – Ingress/Egress	GE0002			
BM61 - Equipment Breakdown Elite – Special Conditions Amendment– Mortgage Interest and Additional Insured	GE0003			
BM61 - Equipment Breakdown Elite – Subrogation Amendment	GE0004			
BM61 - Equipment Breakdown Elite - Special Conditions Amendment - Cancellation Number of Days	GE0005			
BM61 - Equipment Breakdown Elite – Special Conditions Amendment – Failure to Report	GE0006			
BM63 - Equipment Breakdown Elite - Business Interruption - Loss of Profits – Insured Standing Charges Definition Amendment	GE0007			
BM61 - Equipment Breakdown Elite – Blanket Location Endorsement – Extension of Coverage	GE0008			
BM65 - Equipment Breakdown Elite - Spoilage Damage – Specified Property Amendment	GE0009			
BM61 - Equipment Breakdown Elite – Joint / Disputed Loss Deductible	GE0010			
BM61 - Equipment Breakdown Elite – ENVIRONMENTAL “GREEN” IMPROVEMENTS	GE0011			
BM61 - Equipment Breakdown Elite - Broad Named Insured Endorsement	GE0012			
BM61 - Equipment Breakdown Elite - Anchor Property	GE0013			
BM61 - Equipment Breakdown Elite – Deductible Amendment – Specified Equipment	GE0014			
BM61 – Notice of Accident Endorsement to Risk Management	GE0015			
BM63 - Equipment Breakdown Elite – Loss of Profits – Deletion of Co-insurance Clause and Conditional Suspension amended	GE0016			

Additional Conditions

	Form
Declaration of Emergency Endorsement	2485-1
Virus and Bacteria Exclusion Endorsement	E199-1
Cyber Incident Exclusion Endorsement	E201-1
General Conditions	G011-5



Emergency number

If you have a serious loss after regular business hours,
please call:

1 866 464 2424

BM61 - Equipment Breakdown Elite - Named Insured Endorsement

This Endorsement changes the Policy. Please Read it Carefully.

Certain words and phrases that appear in bold or in quotation marks have special meaning as defined below or in the Form to which the Endorsement is attached.

The titles of sections or paragraphs listed below should not be considered for purposes of interpreting the intent of this Endorsement; these titles have only been inserted for ease of reading.

This Endorsement is attached to the Equipment Breakdown Elite Form and is subject to all terms, conditions, limitations, and exclusions of such Form.

The Named Insured listed in the Declaration Page(s) is hereby amended to include all of the following individuals and/or entities:

Tigercat International Inc. and
MacDonald Steel Limited and
Tigercat Industries Inc. and
Tigercat Material Processing, Inc. and
Clean Air Combust LLC. and
Manufacturers Transport Corp.

All other terms and conditions of the policy remain unchanged.

BM61 - Equipment Breakdown Elite - Extension of Coverage – Ingress/Egress

This Endorsement changes the Policy. Please Read it Carefully.

Certain words and phrases that appear in bold or in quotation marks have special meaning as defined below or in the Form to which the Endorsement is attached.

The titles of sections or paragraphs listed below should not be considered for purposes of interpreting the intent of this Endorsement; these titles have only been inserted for ease of reading.

This Endorsement is attached to the Equipment Breakdown Elite Form and is subject to all terms, conditions, limitations, and exclusions of such Form.

The following Extension of Coverage is added to the EXTENSION OF COVERAGE section:

This Extension of Coverage shall not increase the amount of insurance stated in the Declaration Page(s).

26. INGRESS / EGRESS

We shall pay, for up to sixty (60) consecutive days, for actual losses you sustain due to prevention of ingress to or egress from your "location" and which compromises the normal course of your activities. This prevention must be a direct consequence of a "accident" to "object" or a kind of accident of a kind of object described in the definitions of "accident" and "object", respectively, at a neighbouring location to your "location", and only if such prevention arises out of a peril that would have been insured against under this Form had the loss occurred on your "location".

This Extension shall only apply if the Equipment Breakdown - Business Interruption Coverage is specified in the Declaration Page(s).

This Extension does not apply if coverage for loss arising out of prevention of ingress or egress is specifically insured under a separate form of commercial property or business interruption insurance, whether attached to this Policy or not.

All other terms and conditions of the policy remain unchanged.

BM61 - Equipment Breakdown Elite – Special Conditions Amendment– Mortgage Interest and Additional Insured

This Endorsement changes the Policy. Please Read it Carefully.

Certain words and phrases that appear in bold or in quotation marks have special meaning as defined below or in the Form to which the Endorsement is attached.

The titles of sections or paragraphs listed below should not be considered for purposes of interpreting the intent of this Endorsement; these titles have only been inserted for ease of reading.

This Endorsement is attached to the Equipment Breakdown Elite Form and is subject to all terms, conditions, limitations, and exclusions of such Form.

Sub-paragraph 13.1. of Paragraph 13. MORTGAGE INTEREST of the SPECIAL CONDITIONS section of the Policy is deleted in its entirety and is replaced by the following:

13. MORTGAGE INTEREST

- 13.1. If any name is mentioned as Mortgagee with respect to any Location described in any Endorsement forming a part of this Policy, or a Mortgagee appears with respect to any "Location" on any list on file with the Broker or the "Insured", loss to "Insured Property" of the Insured at the said "Location", shall be adjusted with and payable to the "Insured" and the said Mortgagee, as their interests may appear.

Paragraph 14. ADDITIONAL INSURED of the SPECIAL CONDITIONS section is deleted in its entirety and is replaced by the following:

14. ADDITIONAL INSURED

Any name mentioned as an additional "Insured" in the Declaration Page(s), or in any Endorsements attached to this Policy, or any name mentioned as an additional "Insured" on any list on file with the Broker or the "Insured", is considered an "Insured" as their interest may appear, but only with respect to loss from an "Accident" at the "Location" for which the additional "Insured" is shown. Nothing contained in this clause, nor the inclusion under this Policy of more than one "Insured" (or of additional "Insured[s]"), shall operate to increase our "Limit of Insurance".

All other terms and conditions of the policy remain unchanged.

BM61 - Equipment Breakdown Elite – Subrogation Amendment

This Endorsement changes the Policy. Please Read it Carefully.

Certain words and phrases that appear in bold or in quotation marks have special meaning as defined below or in the Form to which the Endorsement is attached.

The titles of sections or paragraphs listed below should not be considered for purposes of interpreting the intent of this Endorsement; these titles have only been inserted for ease of reading.

This Endorsement is attached to the Equipment Breakdown Elite Form and is subject to all terms, conditions, limitations, and exclusions of such Form.

The following paragraph(s) have been added to paragraph 8. SUBROGATION of the SPECIAL CONDITIONS section of the policy.

8.4. Any release from liability entered into prior to a "Accident" to an "Object" covered by this Policy shall not affect the right to recover under this Policy

8.5. The "Insurer" agrees not to effect their rights of recovery against;

8.5.1. any of the Parties insured herein;

8.5.2. any Corporation whose capital stock at the time of loss is owned or controlled by anyone named as "Insured" in the Policy;

8.5.3. any Corporation which is a parent of or any Corporation or Firm which is a subsidiary of or which is controlled by or affiliated with any one or more of the "Insured(s)" named in the Policy;

8.5.4. any Employee, Director, Officer or Partner of any of the Parties, Corporations or Firms described in sub-paragraphs; 8.5.1., 8.5.2., and 8.5.3. of this Endorsement;

8.5.5. any tenant or those for whom the tenant is legally liable except in the event of an ACCIDENT to an OBJECT caused by or resulting from an act of vandalism or malicious mischief by said individual(s)."

All other terms and conditions of the policy remain unchanged.

BM61 - Equipment Breakdown Elite - Special Conditions Amendment - Cancellation Number of Days

This Endorsement changes the Policy. Please Read it Carefully.

Certain words and phrases that appear in bold or in quotation marks have special meaning as defined below or in the Form to which the Endorsement is attached.

The titles of sections or paragraphs listed below should not be considered for purposes of interpreting the intent of this Endorsement; these titles have only been inserted for ease of reading.

This Endorsement is attached to the Equipment Breakdown Elite Form and is subject to all terms, conditions, limitations, and exclusions of such Form.

Paragraph 11. CANCELLATION of the SPECIAL CONDITIONS section of the Policy is deleted in its entirety and is replaced by the following:

11. CANCELLATION

- 11.1. This Policy may be cancelled by the Insured or by their designated management representative by mailing to the Insurer written notice stating when thereafter such cancellation shall be effective.
- 11.2. This Policy may be cancelled by the Insurer by written notice mailed or delivered to the Insured at the mailing address as specified in the Declaration Page(s), such cancellation shall be effective fifteen (15) days for non-payment of premium or one-hundred twenty (90) days for any other reason. The effective date and hour of cancellation stated in the notice shall become the end of the Policy Period.
- 11.3. If the Insured cancels, the Insurer will refund to the Insured seventy-five (75) percent of the pro rata unearned premium. If the Insurer cancels, the Insurer will refund to the Insured the pro rata unearned premium. Such refund will be made as soon as practicable after cancellation becomes effective.

All other terms and conditions of the policy remain unchanged.

BM61 - Equipment Breakdown Elite – Special Conditions Amendment – Failure to Report

This Endorsement changes the Policy. Please Read it Carefully.

Certain words and phrases that appear in bold or in quotation marks have special meaning as defined below or in the Form to which the Endorsement is attached.

The titles of sections or paragraphs listed below should not be considered for purposes of interpreting the intent of this Endorsement; these titles have only been inserted for ease of reading.

This Endorsement is attached to the Equipment Breakdown Elite Form and is subject to all terms, conditions, limitations, and exclusions of such Form.

Paragraph 19. FAILURE TO REPORT has been added to the SPECIAL CONDITIONS Section of the Policy as follows:

19. FAILURE TO REPORT

Any loss resulting from an "Accident", which does not appear to exceed the "Deductible" Amount in the Policy at the time of the "Accident" but at a later date, does appear to exceed the "Deductible" Amount shall not prejudice any claim submitted to the "Insurer" at said later date, subject to the terms and conditions of the Policy

All other terms and conditions of the policy remain unchanged.

BM63 - Equipment Breakdown Elite - Business Interruption - Loss of Profits – Insured Standing Charges Definition Amendment

This Endorsement changes the Policy. Please Read it Carefully.

Certain words and phrases that appear in bold or in quotation marks have special meaning as defined below or in the Form to which the Endorsement is attached.

The titles of sections or paragraphs listed below should not be considered for purposes of interpreting the intent of this Endorsement; these titles have only been inserted for ease of reading.

This Endorsement is attached to the Equipment Breakdown Elite - Business Interruption - Loss of Profits Endorsement and is subject to all terms, conditions, limitations, and exclusions of such Form.

Paragraph 5. Insured Standing Charges is deleted in its entirety and replaced by the following:

5. Insured Standing Charges means all standing charges are insured unless otherwise specified in the Declaration Page(s), in which case only those standing charges so specified are insured.

The following shall in no event be deemed to be standing charges:

- 5.1. depreciation of stock;
- 5.2. bad debts;
- 5.3. fines or damages for breach of contract; or
- 5.4. auditors fees incurred in preparing any claim under this coverage.

All other terms and conditions of the policy remain unchanged.

BM61 - Equipment Breakdown Elite – Blanket Location Endorsement – Extension of Coverage

This Endorsement changes the Policy. Please Read it Carefully.

Certain words and phrases that appear in bold or in quotation marks have special meaning as defined below or in the Form to which the Endorsement is attached.

The titles of sections or paragraphs listed below should not be considered for purposes of interpreting the intent of this Endorsement; these titles have only been inserted for ease of reading.

This Endorsement is attached to the Equipment Breakdown Elite Form and is subject to all terms, conditions, limitations, and exclusions of such Form.

The following is added to EXTENSIONS OF COVERAGE;

27. Blanket Location Endorsement

All "Locations" owned and/or occupied wholly or in part by the "Insured" in Canada and the United States of America as reported to the "Insurer" prior to the inception date of the Policy.

All other terms and conditions of the policy remain unchanged.

BM65 - Equipment Breakdown Elite - Spoilage Damage – Specified Property Amendment

This Endorsement changes the Policy. Please Read it Carefully.

Certain words and phrases that appear in bold or in quotation marks have special meaning as defined below or in the Form to which the Endorsement is attached.

The titles of sections or paragraphs listed below should not be considered for purposes of interpreting the intent of this Endorsement; these titles have only been inserted for ease of reading.

This Endorsement is attached to the Equipment Breakdown Elite - Spoilage Damage Endorsement and is subject to all terms, conditions, limitations, and exclusions of such Endorsement.

The "Specified Property" as shown in the Declarations as; Products Under Refrigeration, has been amended to read;

Specified Property, whether owned by the Insured or by others, shall mean only Product In Storage.

All other terms and conditions of the policy remain unchanged.

BM61 - Equipment Breakdown Elite – Joint / Disputed Loss Deductible

This Endorsement changes the Policy. Please Read it Carefully.

Certain words and phrases that appear in bold or in quotation marks have special meaning as defined below or in the Form to which the Endorsement is attached.

The titles of sections or paragraphs listed below should not be considered for purposes of interpreting the intent of this Endorsement; these titles have only been inserted for ease of reading.

This Endorsement is attached to the Equipment Breakdown Elite Form and is subject to all terms, conditions, limitations, and exclusions of such Form.

The following Paragraph is added to 3. DEDUCTIBLE of the SPECIAL CONDITIONS Section of the Policy as follows:

In the event of a joint or disputed loss, the deductible applied shall be the highest deductible applicable under all policies involved in the loss.

All other terms and conditions of the policy remain unchanged.

BM61 - Equipment Breakdown Elite – ENVIRONMENTAL “GREEN” IMPROVEMENTS

This Endorsement changes the Policy. Please Read it Carefully.

Certain words and phrases that appear in bold or in quotation marks have special meaning as defined below or in the Form to which the Endorsement is attached.

The titles of sections or paragraphs listed below should not be considered for purposes of interpreting the intent of this Endorsement; these titles have only been inserted for ease of reading.

This Endorsement is attached to the Equipment Breakdown Elite Form and is subject to all terms, conditions, limitations, and exclusions of such Form.

The amount stated in the Declaration Page(s) with respect to 13. ENVIRONMENTAL “GREEN” IMPROVEMENTS of the EXTENSIONS OF COVERAGE section, is amended to read as follows:

\$250,000 or 125% of what the cost would have been to replace with like, kind and quality, whichever is greater.

All other terms and conditions of the policy remain unchanged.

BM61 - Equipment Breakdown Elite - Broad Named Insured Endorsement

This Endorsement changes the Policy. Please Read it Carefully.

Certain words and phrases that appear in bold or in quotation marks have special meaning as defined below or in the Form to which the Endorsement is attached.

The titles of sections or paragraphs listed below should not be considered for purposes of interpreting the intent of this Endorsement; these titles have only been inserted for ease of reading.

This Endorsement is attached to the Equipment Breakdown Elite Form and is subject to all terms, conditions, limitations, and exclusions of such Form.

The Named Insured shall be the "Insured" stated on the Policy Declaration and shall include all subsidiary, affiliated, related, or allied companies, corporations, firms or organizations (as they now are or may hereafter be constituted) for which the "Insured" has the responsibility of placing insurance.

All other terms and conditions of the policy remain unchanged.

BM61 - Equipment Breakdown Elite - Anchor Property

This Endorsement changes the Policy. Please Read it Carefully.

Certain words and phrases that appear in bold or in quotation marks have special meaning as defined below or in the Form to which the Endorsement is attached.

The titles of sections or paragraphs listed below should not be considered for purposes of interpreting the intent of this Endorsement; these titles have only been inserted for ease of reading.

This Endorsement is attached to the Equipment Breakdown Elite Form and is subject to all terms, conditions, limitations, and exclusions of such Form.

Paragraph 26. ANCHOR PROPERTY is added to the EXTENSIONS OF COVERAGE section of the Policy as follows:

This Extension of Coverage shall not increase the "Limit of Insurance" stated in the Declaration Page(s)

28. ANCHOR PROPERTY

The "Insurer" shall be liable for losses directly resulting from the interruption or interference of the "Normal" operations of the "Insured's" business caused by an "Accident" to an "Object" at an "Anchor Property".

The "Limit of Insurance" for this coverage shall be \$1,000,000, such amount included in and not in addition to the "Limit of Insurance" stated in the Declaration Page(s).

This Extensions shall only apply if the Equipment Breakdown Elite – Business Interruption Coverage is specified in the Declaration Page(s)

Paragraph 23. Anchor Property and 24. Normal is added to DEFINITIONS section of this Policy as follows.

23. "Anchor Property" means the retail property (whether or not owned by the "Insured") that constitutes a customer attraction thereby generating trade revenue to the "Insured" provided such "Anchor Property" is situated at or directly adjoins the "Insured's" "Location".

24. "Normal" means, wherever used in this Extension of Coverage, shall mean the condition that would have existed had no "Accident" occurred.

All other terms and conditions of the policy remain unchanged.

BM61 - Equipment Breakdown Elite – Deductible Amendment – Specified Equipment

This Endorsement changes the Policy. Please Read it Carefully.

Certain words and phrases that appear in bold or in quotation marks have special meaning as defined below or in the Form to which the Endorsement is attached.

The titles of sections or paragraphs listed below should not be considered for purposes of interpreting the intent of this Endorsement; these titles have only been inserted for ease of reading.

For any loss or damage caused by "any One Accident", the "Insured" shall bear that part of the loss corresponding to the applicable Deductible Specified in the Declaration Pages(s), as follows:

Property Damage Deductibles:

\$ 2,500 on all "Objects" except;
\$ 5,000 on all Complete Production Machines;
\$50,000 on all Complete CNC Machines

Business Interruption Deductibles and/or Waiting Periods:

24 Hours on All "Objects" except;
48 Hours on all Complete Production Machines;
3X ADV (Average Daily Value) on all Complete CNC Machines

All other terms and conditions of the policy remain unchanged.

BM61 – Notice of Accident Endorsement to Risk Management

This endorsement changes the Policy. Please read it carefully.

The titles of sections or paragraphs listed below should not be considered for purposes of interpreting the intent of this Endorsement; these titles have only been inserted for ease of reading.

This Endorsement is attached to the Equipment Breakdown Elite Form and is subject to all terms, conditions, limitations and exclusions of such Form.

The following is added to SPECIAL CONDITION 6, NOTICE OF ACCIDENT:

An "Accident" shall be considered coming to the knowledge of the "Insured" only when such knowledge is received by the risk management department of the "Insured". Words and phrases that appear in bold and/or in quotation marks are defined within the present endorsement or in the Definitions section of the present policy.

All other terms, conditions and limitations of this Policy shall remain unchanged.

BM63 - Equipment Breakdown Elite – Loss of Profits – Deletion of Co-insurance Clause and Conditional Suspension amended

This Endorsement changes the Policy. Please Read it Carefully.

Certain words and phrases that appear in bold or in quotation marks have special meaning as defined below or in the Form to which the Endorsement is attached.

The titles of sections or paragraphs listed below should not be considered for purposes of interpreting the intent of this Endorsement; these titles have only been inserted for ease of reading.

This Endorsement is attached to the Equipment Breakdown Elite – Business Interruption – Loss of Profits Endorsement and is subject to all terms, conditions, limitations and exclusions of such form.

Paragraph 6. COINSURANCE of the SPECIAL PROVISIONS section of the Policy is deleted in its entirety.

Paragraph 8. CONDITIONAL SUSPENSION OF COINSURANCE of the SPECIAL PROVISIONS section of the Policy is amended to read as follows:

If coinsurance is waived on the Declaration Page(s) and a Premium Adjustment application form is submitted to the "Insurer" and is certified by an Authorized Representative of the "Insured", the "Insurer's" liability for loss from an "Accident" occurring after the effective date of this Policy and prior to October 31, 2025 the following SPECIAL PROVISIONS, 6. COINSURANCE is suspended.

The following sentence shall be added to the first paragraph of SPECIAL PROVISIONS, 7. PREMIUM ADJUSTMENT:

If the "Rate of Gross Profit" earned was greater than the "Limit of Insurance", the "Insured" will pay in respect of the difference, an additional prorated premium, but in no event shall this provision operate to increase the amount stated as "Limit of Insurance".

After October 31, 2025, the provisions specified herein shall cease to apply and the terms and provisions of said Loss of Profits Endorsement shall be automatically reinstated without modification; except that if within ninety (90) days following the expiry date of this Policy, the "Insured" has submitted a subsequent Statement of Values, the provisions specified herein are automatically extended to the end of the said ninety (90) days.

Subject to receipt of Business Interruption Worksheet(s).

All other terms and conditions of the policy remain unchanged.

NOTICE TO INSURED

TRADE AND ECONOMIC SANCTIONS CONDITION ALL COVERAGE FORMS

Hello,

We are committed to offering exceptional customer experience and insurance solutions. Important changes have been made to your policy, including the addition or modification of the Trade and Economic Sanctions Condition.

With the **Trade and Economic Sanctions Condition**, coverage, liability, indemnity payment and other benefits may not be provided under your policy if, and to the extent that, doing so would breach applicable trade and economic sanctions requirements.

This condition was added or modified by endorsement, or is embedded within the general conditions, conditions, or additional conditions of your policy.

This letter is only a summary of the changes to your coverage. Please refer to your insurance policy which provides the full details of your coverage, including a full list of conditions and exclusions.

If you have questions about your policy or these changes, please contact your broker at Aon Reed Stenhouse Inc.. Thank you for choosing Intact Insurance.

Sincerely,

The Intact Insurance Team

This information is provided for information purposes only. Your insurance contract always prevails. Please consult it for a complete description of coverage and exclusions. ® Intact Insurance Design is a registered trademark of Intact Financial Corporation, used under license. © 2022 Intact Insurance Company. All rights reserved.

DECLARATION OF EMERGENCY ENDORSEMENT - EXTENSION OF TERMINATION OR EXPIRY DATE

The effective date of termination of this policy by the Insurer or the expiry date of this policy is extended, subject to the conditions and definitions set out below, as follows when an "emergency" is declared by a Canadian public authority designated by statute for the purpose of issuing such an order.

1. The "emergency" must have a direct effect or impact on:
 - i) the Insured, the insured site or insured property located in the declared emergency area; or
 - ii) the operations of the Insurer or its agent/broker located in the declared emergency area.
2.
 - A. Any time limitation described in the Termination condition of this policy, with respect to termination of this policy by the Insurer, will not continue to run until the "emergency" is terminated plus the lesser of:
 - i) 30 days; or
 - ii) the number of days equal to the total time the "emergency" order was in effect.
 - B. If this policy is due to expire during an "emergency", it will continue in force until the "emergency" is terminated plus the lesser of:
 - i) 30 days; or
 - ii) the number of days equal to the total time the "emergency" order was in effect.
3. In no event shall the total term of this extension exceed 120 consecutive days

The Insured agrees to pay the pro rata premium earned for the additional time the Insurer remains on risk as a result of the above.

"Emergency" means the first statutory declaration of an emergency:

- a) with respect to a situation or an impending situation that constitutes a danger of major proportions that could result in serious harm to persons or substantial damage to property and that is caused by the forces of nature, a disease or other health risk, an accident or an act whether intentional or otherwise; or
- b) as provided for by the relevant governing legislation if different from a).
but does not include any subsequent statutory declaration(s) that may be issued relating to the same event.

All other terms and conditions of the Policy to which this endorsement applies remain unchanged.

EQUIPMENT BREAKDOWN ELITE

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SUMMARY OF COVERAGES

INCLUDED IN POLICY LIMIT		
Item	Extensions of Coverage	Limit of Insurance
1.	Expediting Expenses	Included
2.	Hazardous Substances	As shown in the Declaration Page(s)
3.	Ammonia Contamination	As shown in the Declaration Page(s)
4.	Water Damage	As shown in the Declaration Page(s)
5.	Loss of Data	As shown in the Declaration Page(s)
6.	By-Laws	Included
7.	Professional Fees/Auditors Fees	As shown in the Declaration Page(s)
8.	New Acquisitions	As shown in the Declaration Page(s)
9.	Errors or Omissions	As shown in the Declaration Page(s)
10.	Service Interruption	Included
11.	Liberalization Clause	Included
12.	Interruption by Civil Authority	Included
13.	Spares Mitigation	Included
14.	Brands and Labels	As shown in the Declaration Page(s)
15.	Environmental "GREEN" Improvements	As shown in the Declaration Page(s)
16.	Off-Premises Portable Objects	As shown in the Declaration Page(s)
17.	Selling Price	As shown in the Declaration Page(s)
18.	Public Relations	As shown in the Declaration Page(s)
19.	Equipment Incompatibility	Included
20.	Excess Insurance	Included
21.	Functional Replacement	Included
22.	Permission to Relocate	Included
23.	Research and Development	As shown in the Declaration Page(s)
24.	Pairs and Sets	Included
25.	Course of Construction - Renovations	As shown in the Declaration Page(s)

See the wording of each Extension for full conditions of coverage.

Words and phrases that appear in bold have special meaning. Refer to the DEFINITIONS Section.

Various provisions in this Policy restrict coverage. Read the entire Policy carefully to determine rights, duties and what is and is not covered.

INSURING AGREEMENT

The **Insurer** will indemnify the **Insured** for a loss:

1. resulting from an **Accident** to an **Object** occurring during the Policy Period; and
2. at a **Location** specified in this Policy;

all subject to the **Limit of Insurance** stated in the Declaration Page(s) and the terms, conditions, limitations and endorsements of this Policy.

EXCLUSIONS

This Policy does not apply to loss or damage arising directly or indirectly:

1. from nuclear reaction, radiation or radioactive contamination, all whether controlled or uncontrolled, caused directly or indirectly by, contributed to or aggravated by an **Accident**;
2. from:
 - 2.1. war, including undeclared or civil war;
 - 2.2. warlike action by military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents;
 - 2.3. insurrection, rebellion, revolution, usurped power or action taken by governmental authority in hindering or defending against any of these; or
 - 2.4. civil commotion, sabotage, strike, vandalism or malicious act;
3. by pollution, contamination or damage by a **Hazardous Substance**, however caused, except as provided under EXTENSIONS OF COVERAGE, 2. **HAZARDOUS SUBSTANCES**;
4. by an **Accident** caused by or resulting from:
 - 4.1. earth movement, including but not limited to earthquake, landslide, mud flow, subsidence, volcanic eruption, tidal wave or tsunami;
 - 4.2. wind, including but not limited to cyclone, tornado, or hurricane;
 - 4.3. hail, snow load, ice load or sleet;
 - 4.4. fire, smoke, or combustion explosion; or
 - 4.5. water or other means used to extinguish a fire;
5. by:
 - 5.1. fire, smoke or combustion explosion that occurs at the same time as an **Accident** or that ensues from an **Accident**. However, with respect to any **Object** which is a fully or totally enclosed electrical or electronic machine or apparatus, fire damage within the said machine or apparatus which ensues from an **Accident** is covered;
 - 5.2. **Water** escape resulting from an **Accident**, unless the **Water** escapes from equipment that normally contains **Water** or steam and; if coverage for that cause of loss is not provided by any other insurance policy in effect at the time of loss;
 - 5.3. **Flood**. However, if an **Accident** results from a **Flood**, loss caused by said **Accident** is covered;
 - 5.4. lightning if coverage for this cause of loss is provided by any other insurance policy in effect at the time of the loss;
6. by an **Accident** to an **Object**:
 - 6.1. prior to the time the **Object** has been completely installed, operationally tested, and contractually accepted by the **Insured**;
 - 6.2. while undergoing hydrostatic, pneumatic or any pressure test;
 - 6.3. while undergoing an insulation breakdown test; or
 - 6.4. while being dried out;
7. by an explosion within the furnace of any boiler of the chemical recovery type or within the passages from the furnace to the atmosphere whether or not such explosion:
 - 7.1. is contributed to or aggravated by an **Accident** to any part of said boiler that contains heat transfer medium or its vapours;
 - 7.2. is caused in whole or in part, directly or indirectly, by an **Accident** to any **Object**, or part thereof;
8. by an explosion of gas or unconsumed fuel with the furnace of any boiler or fired vessel or within the passages from the furnace to the atmosphere, whether or not such explosion:
 - 8.1. is contributed to or aggravated by an **Accident** to any part of said **Object** that contains heat transfer medium or its vapours; or
 - 8.2. is caused in whole or in part, directly or indirectly, by an **Accident** to an **Object** or part hereof, nor shall the **Insurer** be liable for any loss from an **Accident** caused directly or indirectly by such explosion;
9. from the partial or total failure, malfunction or loss of use of any electronic **Object**, computer system, information repository, microchip, integrated circuit or other similar device due to:
 - 9.1. the erasure, destruction, corruption, misappropriation or misinterpretation of **Data**;
 - 9.2. any error in creating, amending, entering, deleting or using **Data**;
 - 9.3. the inability to receive, transmit or use **Data**; or
 - 9.4. the impact of any virus or the functioning or malfunctioning of the Internet, intranet, local area networks, virtual private networks or similar facility, or of any internet address, website or similar facility;However, the **Insurer** shall pay for loss that ensues solely from an **Accident** to any other **Object** owned by the **Insured**;
10. in whole or in part, by **Terrorism** or by any activity or decision of a government agency or other entity to prevent, respond to or terminate **Terrorism**;
 - 10.1. this exclusion applies whether or not there are one or more other causes or events (whether covered or not) that contribute concurrently or in any sequence to the occasioning of the loss or damage;
 - 10.2. if any portion of this exclusion is found to be invalid, unenforceable or contrary to statute, the remainder shall remain in full force and effect;
11. from collision, upset or external impact to any portable or mobile equipment;
12. from delay or interruption of business;
13. from lack of or too much power, light, heat, steam or refrigeration;
14. by any other indirect consequence of an **Accident** to an **Object**.

If any Exclusion is found to be invalid, unenforceable or contrary to statute, the remainder shall remain in full force and effect.

EXTENSIONS OF COVERAGE

The following Extensions of Coverage shall not increase the **Limit of Insurance** stated in the Declaration Page(s):

1. EXPEDITING EXPENSES

As a direct result of an **Accident** to an **Object**, the **Insurer** will pay, up to the **Limit of Insurance** stated in the Declaration Page(s) in respect of such **Accident**, for the reasonable extra cost of temporary repairs to the **Insured Property** damaged by an **Accident** or the cost to expedite the permanent repair or replacement of such damage to

Insured Property, including overtime and the extra cost of express or other rapid means of transportation. The **Insurer** will not pay for the costs of other property for use on a temporary basis while the damaged **Insured Property** is being repaired or replaced.

2. HAZARDOUS SUBSTANCES

As a direct result of an **Accident** to an **Object**, the **Insurer** will pay, up to the **Limit of Insurance** stated in the Declaration Page(s) in respect of such **Accident**, for loss to **Insured Property** contaminated by **Hazardous Substances**.

In the event of an **Accident** to an **Object** which involves any contaminating substance, or pollutant declared by any governmental agency to be hazardous to health or the environment, the insurance provided under **SPECIAL CONDITION, 2. BASIS OF SETTLEMENT** of this Policy shall apply to the increased cost incurred for the cleanup, repair or replacement, collection, containment, transportation, storage, treatment, and disposal of any **Insured Property** contaminated by such substance or pollutant as a direct result of the **Accident**. This coverage also includes Business Interruption.

The **Insurer** shall not be liable under this extension of coverage for loss or damage caused by ammonia contamination.

The provisions specified herein shall not operate to increase the **Insurer's** liability for loss under Spoilage Coverage forming part of this Policy.

3. AMMONIA CONTAMINATION

As a direct result of an **Accident** to an **Object**, the **Insurer** will pay up to the **Limit of Insurance** stated in the Declaration Page(s) in respect of such **Accident**, for loss to **Insured Property** contaminated by ammonia. This coverage also includes Business Interruption.

The **Insurer** shall not be liable under this extension of coverage for loss or damage caused by **EXTENSION OF COVERAGE, 2. HAZARDOUS SUBSTANCES**.

The provisions specified herein shall not operate to increase the **Insurer's** liability for loss under any Spoilage Coverage forming part of this Policy.

4. WATER DAMAGE

As a direct result of an **Accident** to an **Object**, the **Insurer** will pay up to the **Limit of Insurance** stated in the Declaration Page(s) in respect of such **Accident**, for loss to **Insured Property** damaged by the escape of **Water**. This **Limit of Insurance** includes salvage expenses.

5. LOSS OF DATA

As a direct result of an **Accident** to an **Object**, Data is lost or damaged, the **Insurer** agrees to pay, up to the **Limit of Insurance** stated in the Declaration Page(s) for:

- 5.1. the cost of gathering or reproducing the **Data**;
- 5.2. the business interruption resulting from the loss or damage to the **Data**, provided Business Interruption Coverage is specified in the Declaration Page(s);

However, the **Insurer** shall not be liable for **Data** which is lost or damaged as a result of programming errors of any kind.

6. BY-LAWS

If prior to the time of an **Accident** there is in force a law, by-law, ordinance, regulation, rule or ruling regulating or restricting repair, alteration, use, operation, construction or installation of **Insured Property**, the **Insurer** will pay for:

- 6.1. the increase in cost of repair or replacement of both damaged and undamaged **Insured Property** (including any demolition and site clearing costs) which is necessary to meet the minimum requirements of the law, by-law, ordinance, regulation, rule and/or ruling;
- 6.2. any increase in business interruption loss resulting from the enactment or application of any by-law, ordinance, law, regulation, rule and/or ruling, provided the Business Interruption Coverage is specified in the Declaration Page(s);

In no event shall any provision specified herein apply to any loss as stated in **EXTENSIONS OF COVERAGE, 2. HAZARDOUS SUBSTANCES** of this Policy.

7. PROFESSIONAL FEES/AUDITORS FEES

In the event that an **Accident** occurs, the **Insurer** will pay, up to the **Limit of Insurance** stated in the Declaration Page(s), for the reasonable and necessary fees payable to auditors, accountants, architects, legal counsels, engineers, or other such professionals, for producing and certifying particulars or details of the **Insured's** claim in order to establish the amount payable under this Policy. The **Insured's** own employees, insurance consultants, management personnel and public adjusters are excluded. This extension of coverage applies only to fees incurred in establishing the quantum of a loss for which liability is accepted by the **Insurer**.

8. NEW ACQUISITIONS

Coverage is extended to include newly acquired, rented or leased **Location** provided the **Object** and **Location** added are subject to the following conditions:

- 8.1. the **Insured** notifies the **Insurer** in writing within ninety (90) days after the date said **Location** is acquired;
- 8.2. the **Insured** shall agree to pay any additional premium;
- 8.3. the newly acquired or rented **Location** is in Canada, the United States, or within any other country in which **Insured Property** currently insured by this Policy is located;
- 8.4. the deductible(s) and/or waiting period(s) will be the highest amount shown in the Policy for loss applicable to each **Object**;
- 8.5. the **Object** and **Location** added do not differ from the usual business of the **Insured**; and
- 8.6. loss resulting from an **Accident** shall not exceed the **Limit of Insurance** specified in the Declaration Page(s). The **Insurer** shall not be liable under this extension of coverage for Spoilage Damage.

This extension of coverage shall apply at the time of the acquisition or tenancy and extends for a period of 365 days, or to the date of endorsement of this Policy adding such **Location**, or until the expiry date of this Policy, whichever occurs first.

9. ERRORS OR OMISSIONS

- 9.1. The **Insurer** shall be liable under this Policy for unintentional error(s) and/or unintentional omission(s) by the **Insured**, subject to the following conditions:
 - 9.1.1. an **Accident** occurs within Canada, the United States or within any country in which **Insured Property** currently insured by this Policy is located;
 - 9.1.2. the unintentional error(s) and/or unintentional omission(s) by the **Insured** comprises any one or combination of the following:
 - 9.1.2.1. an unreported **Location** owned or occupied by the **Insured** at the inception date of this Policy;
 - 9.1.2.2. the incorrect description of a **Location**;
 - 9.1.2.3. **Insured Property** values reported for the **Location**; and/or
 - 9.1.2.4. the incorrect deletion of a **Location**;
 - 9.1.3. coverage for loss to **Insured Property** directly resulting from the **Accident** would have been provided under this Policy had the unintentional error(s) and/or unintentional omission(s) not been made.
- 9.2. If the aforesaid conditions listed are not fully complied with by the **Insured**, coverage is not afforded under this Policy for any such loss or damages.
- 9.3. Any unintentional error(s) and/or unintentional omission(s), when discovered, shall be reported and corrected, including but not limited to any appropriate adjustment to premium.
- 9.4. In no event shall the **Insurer's** liability exceed the **Limit of Insurance** stated in the Declaration Page(s), this amount being included in, and not in addition to, the **Limit of Insurance**.
- 9.5. The provisions contained herein shall not operate to alter or extend **EXTENSIONS OF COVERAGE, 8. NEW ACQUISITIONS**.

10. SERVICE INTERRUPTION

- 10.1. The **Insurer** shall be liable for loss solely for the purposes of any Business Interruption or Spoilage coverage provided by this Policy, the definition of **Accident** of an **Object** shall include any **Object** which is owned by a Public Utility or other supplier of service and used to supply under contract or lease: electric power; water; heat; refrigeration; gas; air; or steam, communication services except satellite services, directly to the **Location**, resulting in an interruption of services to the **Insured**.
- 10.2. This extension of coverage shall not include any loss resulting directly or indirectly from an **Accident** to an **Object**, should any coverage for Service Interruption be provided by any other insurance policy.
- 10.3. In addition to the exclusions forming part of this Policy, it is agreed that the **Insurer** shall not be liable for any interruption of service caused by or resulting from the weight of ice or snow, wind, rising waters, or by a deliberate act or acts of the supplying company to shed load to maintain system integrity.

11. LIBERALIZATION CLAUSE

The **Insurer** will provide coverage under this Policy incorporating any changes by the **Insurer**, not including endorsements, that broadens coverage, without an additional premium charge, provided that:

- 11.1. such extension of coverage has not been declined by the **Insurer**;
- 11.2. such extension of coverage has not been refused by the **Insured** following conditions proposed by the **Insurer**.

12. INTERRUPTION BY CIVIL AUTHORITY

Any Business Interruption or Spoilage coverage provided by this Policy is extended to pay for loss not exceeding 60 days. This extension of coverage must be as a direct result of an **Accident** to an **Object** at the **Location** of others, and access to the **Location** is prohibited by order of civil authority.

13. SPARES MITIGATION

Respecting an **Accident**, as defined in this Policy, to any insured spare **Object** used to reduce or avert any Property Damage and Business Interruption loss at the time of an **Accident** such **Accident** shall be considered to be part of such loss, and any applicable Property Damage and Business Interruption deductible amount or waiting period shall be continuous and only apply one time to the total Property Damage or Business Interruption loss.

Spare **Object**, as used herein shall mean any **Object** acquired by the **Insured** prior to an **Accident** and held specifically to spare existing operating **Object**.

14. BRANDS AND LABELS

In the event of loss or damage arising out of an **Accident** to **Insured Property** bearing a brand name or trademark, the **Insurer** shall indemnify the **Insured**, up to the **Limit of Insurance** stated in the Declaration Page(s), for the cost of removal of such brands, trademarks or other identifying characteristics (provided that such removal will not physically damage the **Insured Property**) prior to the sale, as salvage, of such **Insured Property** damaged by an **Accident**; in accordance with the value established by the **Insurer** during loss adjustment. The salvage value of such damaged **Insured Property** is determined after removal (in the customary manner) of all such brands or trademarks or other identifying characteristics.

15. ENVIRONMENTAL "GREEN" IMPROVEMENTS

If **Object** requires replacement due to an **Accident**, the **Insurer** will pay the **Insured** additional costs to replace the **Object** with one better for the environment, and more energy efficient than the **Object** being replaced. The **Insurer** will pay up to the amount stated in the Declaration Page(s) in respect to an **Accident**, of what the cost would have been to replace with like kind, capacity, size, quality and function.

This Extension does not apply to any **Object** valued at **Actual Cash Value**, an obsolete **Object** and/or any uninsured **Object**.

Such additional costs shall include:

- 15.1. the additional reasonable and necessary fees incurred by the **Insured** for an accredited professional certified by a **Green Authority** to participate in the repair or replacement of physical damaged **Object** as **Green**;
- 15.2. the additional reasonable and necessary cost incurred by the **Insured** for certification or recertification of the replaced or repaired **Object** as **Green**; and
- 15.3. the additional reasonable and necessary cost incurred by the **Insured** for **Green** removal, disposal or recycling of damaged **Object**.

This extension of coverage does not apply to any:

- 15.4. stock, raw material, finished goods, merchandise, **Data** processing **Object** not used in the functional support of any **Object**, molds and dies or an **Object** of others for which the **Insured** is legally liable;
- 15.5. loss covered under any other section of this Policy; or
- 15.6. cost incurred due to any law or ordinance which the **Insured** is legally obligated to comply with prior to the time of the **Accident** to an **Object**.

16. OFF PREMISES PORTABLE OBJECTS

The **Insurer** shall be liable for loss with respect to an **Accident**, for loss or damage to **Portable Objects** that at the time of the **Accident** are not at a **Location** listed on this Policy; provided that the **Portable Object**:

- 16.1. is of a type described in the definition of **Object**; and
- 16.2. is at a **Location** which is within Canada, the United States, or within any other country in which **Insured Property** is currently insured by this Policy.
- 16.3. the **Insurer's** liability for loss to any **Portable Object** that is three (3) years old or more from the date of purchase new, is its **Actual Cash Value**.

This extension of coverage does not apply to any loss of Portable Object:

- 16.4. which is a refrigeration system and/or its accessory equipment;
- 16.5. which is manufactured or distributed by the **Insured** for sale;
- 16.6. which is a watercraft, aircraft or unmanned aerial vehicle (drone); or
- 16.7. resulting from collision, upset or external impact.

The limit of the **Insurer's** liability shall be the **Limit of Insurance** specified in the Declaration Page(s) for Off Premises Portable Objects including Business Interruption and/or Spoilage resulting from the loss or damage to the **Portable Object**, provided that Business Interruption and/or Spoilage are specified in the Declaration Page(s).

17. SELLING PRICE

In respect to an **Accident** for this extension, coverage for the **Insured's** finished manufactured products or manufactured merchandise is calculated under **SPECIAL CONDITIONS, 2. BASIS OF SETTLEMENT**, at the regular cash selling price at the time of the loss of such manufactured products or manufactured merchandise at the **Location** where the loss occurs, less all discounts and charges to which these manufactured products or manufactured merchandise would have been subject had no loss occurred.

18. PUBLIC RELATIONS

The **Insurer** will pay, up to the **Limit of Insurance** in the Declaration Page(s) for Public Relations in respect of an **Accident**, for loss under business interruption, for reasonable costs for public relations services rendered by professionals to draft, create or broadcast communications, when the need for such communications arises directly from business interruption. These communications must be directed to:

- 18.1. the media;
- 18.2. the public; or
- 18.3. customers, clients or members of the **Insured**.

Such costs must be incurred during the Policy Period and end:

- 18.4. thirty (30) consecutive days after the date the **Insured Property** is repaired or replaced; or
- 18.5. after the necessary period of time to proceed with due diligence and dispatch to rebuild, repair or replace such **Insured Property** that has been damaged by the **Accident**;

whichever occurs first.

19. EQUIPMENT INCOMPATIBILITY

The **Insurer** will pay for the cost of purchasing and installing technologically current equipment which is necessitated by incompatibility between:

- 19.1. New equipment installed to replace damaged or destroyed equipment; and
- 19.2. Undamaged existing equipment that no longer functions with the replaced equipment either at the same **Location** and/or interdependent **Location**;
- 19.3. Coverage is subject to the following:
 - 19.3.1. the equipment was damaged due to an **Accident** to an **Object**;
 - 19.3.2. the equipment cannot be repaired;
 - 19.3.3. the **Insurer(s)** shall be liable under this extension only for the amount sufficient to enable the **Insured** to resume operations in substantially the same manner as before the destruction or damage; and
 - 19.3.4. the damage or destruction and the necessity to replace incompatible equipment shall be regarded as one **Accident**.

20. EXCESS INSURANCE

Coverage is provided under this Policy for an **Accident** to an **Object** at any **Location** reported to the **Insurer** and owned by the **Insured** at any **Location** within Canada, the United States and/or any other country listed on this Policy where the tenant, landlord, co-owner, property manager or other third party are required by lease or other written agreement to carry Equipment Breakdown Insurance on behalf of the **Insured**. The **Insured** shall agree to pay any additional premium, and this extension of coverage is subject to the following conditions:

- 20.1. the tenant, landlord, co-owner, property manager or other third party fail to comply with the requirements of the lease or written agreement and as direct result the **Insured** suffers a loss;
- 20.2. the tenant's, landlord, co-owner, property manager or other third party lease or written agreement expires, lapses or is cancelled and the **Insured** is required to provide insurance solely due to the vacancy of the **Location**; or
- 20.3. the tenant, landlord, co-owner, property manager or other third party's insurance is not as broad as the coverages on this Policy and as direct result, the **Insured** suffers a loss.

21. FUNCTIONAL REPLACEMENT

In the event that a replacement of like kind, capacity, size, function and quality is not available, the basis of settlement shall be the cost of replacing the damaged **Object** with new equipment or machinery of like kind, capacity, size, function and quality incorporating the most current technology.

22. PERMISSION TO RELOCATE

Coverage is provided by the **Insurer** arising out of a loss under this Policy for the **Insured** for reconstruction or rebuild at a site of their own choosing however this shall not serve to increase **SPECIAL CONDITIONS, 2. BASIS OF SETTLEMENT** beyond that which would be incurred to reconstruct or rebuild on the same site.

23. RESEARCH AND DEVELOPMENT

If an **Accident** to an **Object** interrupts research and development activities which would not have generated revenue during the current indemnity period, the **Insurer** shall pay, up to the **Limit of Insurance** stated in the Declaration Page(s), any reasonable Extra Expense incurred in order to continue the activities and/or reduce the delay to such research and development activities.

This extension of coverage shall not apply if any research and development activities affected by the interruption are abandoned or deemed of no value.

24. PAIRS AND SETS

Coverage is extended in respect of an **Accident** to an **Object** resulting in direct damage to **Insured's** product, to include any part or parts of the **Insured's** product that are not damaged which causes the product to become unmarketable as a complete product.

25. COURSE OF CONSTRUCTION - RENOVATIONS

Coverage is extended to include any **Object** forming part of any renovations (such as alterations, repairs and additions) to any existing structures insured at the time of inception of this Policy or endorsed thereafter, for which the **Insured** assumes responsibility during the course of construction. Such **Object** shall be considered in the care, custody or control of the **Insured** upon being connected and ready for use. Coverage is extended up to the **Limit of Insurance** stated in the Declaration Page(s). This extension of coverage excludes testing and commissioning.

SPECIAL CONDITIONS

1. LIMIT OF INSURANCE

The **Insurer's** total liability for any loss or damage to **Insured Property** from an **Accident** shall not exceed the **Limit of Insurance** stated in the Declaration Page(s).

If more than one **Insured** is named, the **Insurer** shall not be liable under this Policy for any payment in excess of that for which it would have been liable if only one **Insured** had been named. The **Insurer's** liability under this Policy shall not be limited by the expiration of the Policy.

2. BASIS OF SETTLEMENT

In the event of an **Accident**, the **Insurer** agrees to pay for loss or damage to the **Object** and to other **Insured Property** directly damaged by the **Accident**.

The **Insurer** agrees that loss to **Insured Property** owned by the **Insured** shall mean the amount expended by the **Insured** to repair or replace such **Insured Property**, subject to the following provisions:

- 2.1. the **Insurer's** liability for any repair, or replacement shall be limited to the lesser of the following:
 - 2.1.1. the cost at the time of the **Accident** to repair said **Insured Property**; or
 - 2.1.2. the cost at the time of the **Accident** to replace said **Insured Property** with **Insured Property** of like kind, capacity, size, function and quality;

- 2.2. in the event that repair or replacement is with **Insured Property** of a better kind, capacity, size, function or quality, the **Insurer's** liability shall not exceed the amount that would have been paid if repair or replacement had been made with **Insured Property** of like kind, capacity, size, function and quality;
- 2.3. the **Insurer** shall not be liable for an **Object** obsolete to the **Insured** or be liable for the cost of repairing or replacing any part of an **Object** which is in excess of the cost of repairing or replacing the entire **Object**;
- 2.4. if any damaged **Insured Property** is not repaired or replaced within twenty-four (24) months of the **Accident**, the **Insurer's** liability as respects such **Insured Property** shall be limited to the **Actual Cash Value** of the damaged **Insured Property**;
- 2.5. any heat exchanger five (5) years old or more from the date of purchase new, that forms part of forced air heating equipment, shall be limited to the **Actual Cash Value**;
- 2.6. if at the time of a loss to insured refrigeration equipment using R22 or R142b refrigerant, there is not an adequate supply of R22 or R142b refrigerant stored at the **Location** and/or locally available for use at the insured **Location** to do a complete and timely repair, then the refrigeration equipment including compressors, motors and piping are considered uninsured objects and no liability exists for either direct or indirect damage, however caused. All refrigeration equipment including compressors, motors and piping using R22 or R142b refrigerant with an adequate supply of such refrigerant stored at the **Location** and/or locally available are subject to **Actual Cash Value**.

3. DEDUCTIBLE

For any loss or damage caused by **Any One Accident**, the **Insured** shall bear that part of the loss corresponding to the applicable deductible to an **Object** or other **Insured Property**, or for any Business Interruption or Spoilage coverage, specified in the Declaration Page(s).

If more than one deductible is applicable to covered loss under this Equipment Breakdown Elite Form, only the highest deductible shall apply as specified in the Declaration Page(s).

4. INSPECTION

The **Insurer** reserves its rights, at all reasonable times during the Policy Period, to inspect any **Object** and the **Location** where said **Object** is located. The **Insurer's** right to conduct inspections, or the making of any report thereon shall not constitute an undertaking on behalf of or for the benefit of the **Insured** or others, to determine or warrant that such **Object** is safe or not hazardous.

5. SUSPENSION

Upon the discovery of a dangerous condition respecting any **Object**, any representative of the **Insurer** may immediately suspend the insurance with respect to said **Object** by written notice mailed or delivered to the **Insured** at the mailing address of the **Insured**, as specified in the Declaration Page(s), or at the **Location** of the **Object**. The **Insurer** agrees to furnish a copy of the suspension notice to the mortgagee.

- 5.1. The **Insured** shall be allowed the unearned portion of the premium paid for such suspended insurance (pro rata) from the time of suspension for the remainder of the term.
- 5.2. Insurance so suspended may be reinstated by the **Insurer** but only by an Endorsement issued to form part of this Policy.

6. NOTICE OF ACCIDENT

When an **Accident** occurs:

- 6.1. notice shall be given immediately by or on behalf of the **Insured** to the **Insurer**, or any of the **Insurer's** authorized representatives;
- 6.2. the **Insurer** shall have reasonable time and opportunity to examine the **Insured Property** and the **Location** of the **Insured** before repairs are undertaken, or physical evidence of the **Accident** is removed, except for the protection from further damage, or salvage of **Insured Property**;
- 6.3. proof of loss shall be made by the **Insured** in such form as the **Insurer** may require;
- 6.4. the **Insured** shall render every assistance in facilitating the investigation and adjustment of any claim, submitting to examination and interview by any representative of the **Insurer**; and
- 6.5. the **Insured** shall not voluntarily incur any expense, other than at the **Insured's** own cost, except as otherwise expressly permitted in this Policy.

7. COMMENCEMENT OF LIABILITY

The commencement of the **Insurer's** liability under this Policy commences:

- 7.1. the time of the **Accident**; or
- 7.2. twenty-four (24) hours before the Notice of Accident is received by the **Insurer**;

whichever is later.

If the time in effect at the address to which a notice is sent is different from that in effect at the **Location** where the **Accident** occurred, the time of the receipt of such notice, for the determination of the Commencement of Liability shall be considered on the basis of the time in effect where the **Accident** occurred.

Where the laws of Québec govern this Policy, the general conditions contained under form 240.0e, General Conditions, supersede the following special conditions in case of duplication:

8. SUBROGATION

- 8.1. In the event of any payment or assumption of liability under this Policy, the **Insurer** is subrogated to all of the **Insured's** rights of recovery against any person or organization;
- 8.2. The **Insured** shall execute and deliver instruments and papers and do whatever else is necessary to secure such rights; the **Insured** must not do anything to prejudice such rights;
- 8.3. Where the net amount recovered, after deducting the cost of recovery, is not sufficient to provide a complete indemnity for the loss suffered, that amount shall be divided between the **Insurer** and **Insured** in the proportion in which the loss has been borne by them respectively.

9. ACTION AGAINST INSURER

- 9.1. An action cannot be brought against the **Insurer** unless the **Insured** has first complied fully with all the terms and conditions of this Policy.
- 9.2. Any action against the **Insurer** must be commenced within the time prescribed by legislation in force at the time of the loss in the province, state, territory or jurisdiction of the **Location** in which the **Accident** occurs.

10. ASSIGNMENT

- 10.1. Assignment of interest, under this Policy, shall not bind the **Insurer** until its consent is endorsed hereon.
- 10.2. If the **Insured** shall die, or be adjudged bankrupt, or insolvent, during the Policy Period, this Policy, shall cover the **Insured's** legal representative.
- 10.3. Such coverage shall only apply if written notice is given to the **Insurer** within sixty (60) days after the date of such death, adjudication or insolvency.

11. CANCELLATION

- 11.1. This Policy may be cancelled by the **Insured** or by their designated management representative by mailing to the **Insurer** written notice stating when thereafter such cancellation shall be effective.
- 11.2. This Policy may be cancelled by the **Insurer** by written notice mailed or delivered to the **Insured** at the mailing address as specified in the Declaration Page(s), such cancellation shall be effective fifteen (15) days for non-payment of premium or sixty (60) days for any other reason. The effective date and hour of cancellation stated in the notice shall become the end of the Policy Period.

- 11.3. If the **Insured** cancels, the **Insurer** will refund to the **Insured** seventy-five (75) percent of the pro rata unearned premium. If the **Insurer** cancels, the **Insurer** will refund to the **Insured** the pro rata unearned premium. Such refund will be made as soon as practicable after cancellation becomes effective.

12. CHANGES

By accepting this Policy, the **Insured** agrees that this Policy embodies all agreements existing between the **Insured** and the **Insurer** or any of the **Insurers** agents relating to this insurance. Notice to any agent or knowledge possessed by any agent or by any other person is not a waiver or change in any part of this Policy. Such notice does not estop the **Insurer** from asserting any rights under this Policy. The terms of this Policy are in no way waived or changed except by endorsement issued to form a part of this Policy. The additional or return premium for any such endorsement shall be computed in accordance with our rating standards and practices that are applicable to such change.

13. MORTGAGE INTEREST

- 13.1. If any name is mentioned as Mortgagee with respect to any **Location** described in this Policy, any loss to **Insured Property** of the **Insured** at the said **Location**, shall be adjusted with and payable to the **Insured** and the said Mortgagee, as their interests may appear.
- 13.2. The **Insurer** reserves the right to cancel this Policy as provided in **SPECIAL CONDITIONS, 11. CANCELLATION** of this Policy and in such case will mail to said Mortgagee, at the address of the said Mortgagee, a copy of the written cancellation notice mailed or delivered to the **Insured**; such cancellation, as respects the interest of the said Mortgagee, shall be effective at the time specified in said notice to the **Insured**, but in no event earlier than fifteen (15) days after the date of mailing of said copy of notice to said Mortgagee.
- 13.3. If the **Insured** cancels this Policy as provided in the **SPECIAL CONDITIONS, 11. CANCELLATION** of this Policy, the **Insurer** agrees to mail to said Mortgagee, at the address of said Mortgagee, details of such request for cancellation, but in no event shall cancellation, as respects the interest of said Mortgagee, become effective before the date requested by the **Insured** or fifteen (15) days after the mailing of such details, whichever is later.
- 13.4. The **Insurer** reserves the right to suspend insurance (which shall include any insurance applying to the interest of said Mortgagee) on any **Object** at the said **Location** in accordance with **SPECIAL CONDITIONS, 4. INSPECTION** and **SPECIAL CONDITIONS, 5. SUSPENSION**, and the **Insurer** agrees to furnish said Mortgagee, at the address of the said Mortgagee, a copy of the suspension notice.

14. ADDITIONAL INSURED

Any name mentioned as an additional **Insured** in the Declaration Page(s), or in any Endorsements attached to this Policy, is considered an **Insured** as their interest may appear, but only with respect to loss from an **Accident** at the **Location** for which the additional **Insured** is shown. Nothing contained in this clause, nor the inclusion under this Policy of more than one **Insured** (or of additional **Insured(s)**), shall operate to increase our **Limit of Insurance**.

15. MULTIPLE INTERESTS

If more than one **Insured** is named in this Policy, the **Insurer** shall not be liable under any coverage for any payment in excess of that for which it would have been liable if only one **Insured** had been named.

16. CURRENCY CLAUSE

The premium charged has been calculated in Canadian currency for any **Location** in Canada, and in U.S. currency for any **Location** outside of Canada. Any loss will be paid in Canadian currency for any **Location** in Canada, and in U.S. currency for any other **Location**. All **Limits of Insurance** and Deductible Amounts stated in this Policy shall be in U.S. currency with respect to any **Location** outside of Canada.

17. OTHER INSURANCE

Notwithstanding the Other Insurance clause stipulated under the General Conditions Form or the Statutory and General Conditions Form, in the event where another insurance policy would apply following an **Accident**, coverage under this Policy shall only apply as excess insurance over any other insurance policy provided.

18. DISPUTED LOSSES

If a covered loss exists and there is disagreement between the property insurer and the Equipment Breakdown **Insurer** as to which insurer is liable or as to the proportion of the loss to be paid by each insurer, then upon written request by the **Insured**, the **Insurer** shall settle the loss in accordance with the Insurance Bureau of Canada's Property/Boiler Agreement Respecting Disputed Losses, providing the property insurer is signatory to that Agreement or has agreed in writing to be bound by its contents.

DEFINITIONS

As used in this Form, words in the singular include the plural and words in the plural include the singular.

Whenever used in this Policy:

1. **Accident** means a sudden and accidental failure of an **Object** resulting in physical damage which requires the repair or replacement of the **Object** or a part of the **Object**.
Accident does not mean:
 - 1.1. depletion, deterioration, corrosion or erosion of material;
 - 1.2. wear and tear;
 - 1.3. the functioning of any safety device or protective device;
 - 1.4. the failure of a structure or foundation supporting the **Object** or a part of the **Object**;
 - 1.5. the cracking of any part of any turbine exposed to the products of combustion;
 - 1.6. leakage at any valve, fitting, shaft seal, gland packing, joint or connection;
 - 1.7. the sudden and accidental explosion of gas or unconsumed fuel within the furnace of any **Object** or within the gas passages therefrom to the atmosphere;
 - 1.8. with respect to any electronic equipment, any condition that can be addressed by maintenance, restoring software or firmware functionality (including rebooting, reloading or updating), or restoring a lack of proper or insufficient power;
 - 1.9. with respect to any electronic equipment, any incompatibility of the equipment with any other equipment or insufficient size, capability or capacity of the **Object**; or
 - 1.10. with respect to any electronic equipment, any loss caused by exposure to environmental conditions.
2. **Actual Cash Value** means the cost of replacing the damaged **Insured Property** with **Insured Property** of similar kind, capacity, size, quality and function less depreciation however caused. The **Insurer** will consider such items as the age, condition and normal life expectancy of the damaged **Insured Property** in determining depreciation.
3. **Any One Accident**, if either the **Accident** to an **Object** causes an **Accident** to other **Object** or a series of **Accidents** occur at the same time as a result of the same cause, such loss will be considered as **Any One Accident**.
4. **Combined Policy Limit** means the **Insurer's** total liability for loss of the kinds insured against under all coverages, resulting from **Any One Accident**.
5. **Data** means facts, concepts and information which is converted to a form useable for communications, interpretation or processing by electronic and electromechanical **Data** processing or electronically controlled equipment and includes programs, software and coded instructions for the processing and manipulation of **Data** or the direction and manipulation of such equipment.
6. **Flood** means a temporary, partial or complete inundation of land that is normally dry resulting from, but not limited to:
 - 6.1. overflow of inland river or stream, or tidal waters;
 - 6.2. rapid accumulation of water from rain or snowfall, or surface water runoff, or underground water;

- 6.3. mudflow, mudslide; or
- 6.4. subsidence of land along a body of water resulting from erosion or wave action.
- 7. **Fungi** includes, but is not limited to, any form or type of mould, yeast, mushroom mildew whether or not allergenic, pathogenic or toxigenic, and any substance, vapour or gas produced by, emitted from or arising out of any **Fungi** or **Spores** or resultant mycotoxins, allergens, or pathogens.
- 8. **Green** means products, materials, methods and processes certified by a **Green Authority** that conserve natural resources, reduce energy or water consumption, avoid toxic or other polluting emissions or otherwise minimize environmental impact.
- 9. **Green Authority** means an authority on building products, materials, methods or processes that are certified and accepted by industry associations or government as supporting environmental sustainability and/or energy conservation. These entities include but are not limited to: Leadership in Energy and Environmental Design (LEED), Green Building Initiative (Green Globes), Energy Star, Building Owners and Managers Association (BOMA) BEST, any applicable Canadian Standards Association guideline (CSA), ISO Standards or any other environmental sustainability or energy conservation rating or certification system recognized by the **Insurer**.
- 10. **Hazardous Substance** means:
 - 10.1. any pollutant, contaminant or other substance declared by a government authority to be hazardous to health or the environment; or
 - 10.2. any **Fungi**, **Spores** or toxins created or produced by or emanating from such **Fungi** or **Spores** whether or not allergenic, pathogenic or toxigenic.
- 11. **Insured** means the Insured Named on the Declaration Page(s).
- 12. **Insured Property** means:
 - 12.1. Property owned by the **Insured**; or
 - 12.2. Property of others in the care, custody or control of the **Insured** and for which the **Insured** is legally liable.
- 13. **Insurer** means the Company or Companies providing this insurance.
- 14. **Limit of Insurance** means the **Insurer's** total liability for each coverage described on the Declaration Page(s).
 If Combined Policy Limit is shown for the Equipment Breakdown Elite Form on the Declaration Page(s) for any **Location**, such **Location** shall be included in the **Combined Policy Limit** for all coverages.
 Business Interruption coverage forms part of the **Combined Policy Limit**. The basis for applying **SPECIAL PROVISIONS, PREMIUM ADJUSTMENT**, will be the **Limit of Insurance** as stated in the Declaration Page(s) for this coverage for each **Location**. The inclusion herein of more than one **Insured** shall not operate to increase the limits of the **Insurer's** liability.
 Spoilage Damage Coverage forms part of the **Combined Policy Limit**. The basis for applying **SPECIAL PROVISIONS, 3. COINSURANCE**, will be the **Limit of Insurance** as stated in the Declaration Page(s) for this coverage for each **Location**. The inclusion herein of more than one **Insured** shall not operate to increase the limits of the **Insurer's** liability.
- 15. **Location** means the premises owned by, leased by, controlled by or occupied by the **Insured** as reported to the **Insurer** prior to the inception date of this Policy or subsequently endorsed to this Policy.
- 16. **Mobile Object** means any complete **Object** intended for conveyance by any source that is not an individual and is not permanently affixed in position.
- 17. **Object** means any equipment owned, leased, operated or for which the **Insured** has care, custody or control as described below:
 - 17.1. any boiler, fired or unfired pressure vessel (including unfired pressure vessel used for storage of gas or liquid which is periodically filled, moved, emptied and refilled in the course of its normal service), normally subject to vacuum or internal pressure other than static pressure of contents, any piping connected thereto or any other piping and its accessory equipment, any heat exchanger that forms part of forced air heating equipment, but not including any:
 - 17.1.1. boiler setting, any refractory or insulating material;
 - 17.1.2. part of a boiler or fired pressure vessel that does not contain steam or water or other heat transfer medium or its vapour;
 - 17.1.3. oven, stove, incinerator, furnace or kiln, but not excluding:
 - 17.1.3.1. any rotary type kiln; or
 - 17.1.3.2. any combustor of any combustion gas turbine;
 - 17.1.4. cylinder forming part of an elevator or hoist, unless fully protected by (PVC) Polyvinyl Chloride covering;
 - 17.1.5. domestic and supply water piping, sewer waste and/or waste disposal piping, any piping forming a part of a sprinkler or fire suppression system or any hose;
 - 17.1.6. water piping and its accessory equipment, but not excluding:
 - 17.1.6.1. feed water piping and its accessory equipment between any boiler and its feed pumps or injectors;
 - 17.1.6.2. boiler condensate return piping and its accessory equipment, or
 - 17.1.6.3. water piping and its accessory equipment forming a part of a refrigeration, air conditioning or hot water heating system;
 - 17.1.7. penstock, draft tube or well casing;
 - 17.1.8. locomotive, aircraft, or floating vessel;
 - 17.2. any mechanical or electrical equipment used for the generation, transmission or utilization of mechanical or electrical power, but not including any:
 - 17.2.1. mobile equipment, including but not limited to, vehicle, power shovel, excavator, dragline, but not excluding any pressure vessel, mechanical or electrical equipment mounted on such machine or apparatus;
 - 17.2.2. lifting or safety cables, anchorages, car buffers or counterweight buffers forming part of an elevator or escalator system;
 - 17.2.3. oven, stove, incinerator, furnace or kiln; however, but not excluding the following:
 - 17.2.3.1. any rotary kiln;
 - 17.2.3.2. any pump, compressor, fan, blower, engine, or turbine, or any electrical equipment; or
 - 17.2.3.3. any separate enclosed gear set connected to such apparatus by a coupling, clutch, belt or chain;
 - 17.2.4. conveyor belt;
 - 17.2.5. crane or hoist, but not excluding any pressure vessel, mechanical or electrical equipment mounted on such machine or apparatus;
 - 17.2.6. cylinder forming part of an elevator or hoist, unless fully protected by (PVC) Polyvinyl Chloride covering;
 - 17.2.7. felt, wire, screen, die, mold, extrusion plate, swing hammer, chain, belt, grinding disc or cutting blade, clutch plate, brake pad, rod, bowl liner, wear plate or mantle forming a part of a machine, or any part or tool subject to frequent, periodic replacement;
 - 17.2.8. locomotive, aircraft, or floating vessel;
 - 17.3. any electronic equipment or fibre optic cable, including the optical transmitter and receiver, but not including any:
 - 17.3.1. anode tube, x-ray tube, video amplifier tube or klystron tube;
 - 17.3.2. laser cartridge;
 - 17.3.3. locomotive, aircraft, or floating vessel;

17.4. any **Production Machine**, but not including any:

17.4.1. conveyor belt;

17.4.2. laser cartridge;

17.4.3. felt, wire, screen, die, mold, extrusion plate, swing hammer, chain, belt, grinding disc or cutting blade, clutch plate, brake pad, rod, bowl liner, wear plate or mantle forming a part of a machine, or any part or tool subject to frequent, periodic replacement.

18. **Portable Object** means any complete **Object** intended for conveyance by individuals and is not permanently affixed in position. However, **Portable Object** shall not mean **Mobile Object**.

19. **Production Machine** means any complete machine or apparatus which processes, forms, cuts, shapes, grinds or conveys raw materials, material in process, waste material or finished product, and any equipment forming part of the driving or controlling mechanism for such machine or apparatus, but not excluding:

19.1. Any pump, compressor, fan, blower, engine or turbine;

19.2. Any electrical machine or electrical apparatus;

19.3. Any separate enclosed gear set connected to such **Production Machine** or apparatus by a coupling, clutch or belt.

If stated on the Declarations Page(s) as Equipment Breakdown Elite – Property Damage – Excluding Production Machines, then **Object** does not include any **Production Machine**.

20. **Spores** includes, but is not limited to, one or more reproductive particles or microscopic fragments produced by, emitted from or arising out of any **Fungi**.

21. **Terrorism** means an ideologically motivated unlawful act or acts, including but not limited to the use of violence or force or threat of violence or force, committed by or on behalf of any group(s), organization(s) or government(s) for the purpose of influencing any government and/or instilling fear in the public or a section of the public.

22. **Water** means the liquified form of the chemical compound H₂O, including additives common or usual to business, personal or municipal use and includes, but is not limited to, natural source water, municipal water, chemically treated water or a water/glycol mix.

EQUIPMENT BREAKDOWN ELITE – BUSINESS INTERRUPTION – LOSS OF PROFITS

This Endorsement Changes the Policy. Please Read It Carefully.

Certain words and phrases that appear in bold have special meaning as defined below or in the Policy to which this Endorsement is attached.

The titles of sections or paragraphs listed below should not be considered for purposes of interpreting the intent of this Endorsement; these titles have only been inserted for ease of reading.

This Endorsement is attached to the Equipment Breakdown Elite Form and is subject to all terms, conditions, limitations and exclusions of such Form.

INSURING AGREEMENT

1. INDEMNITY AGREEMENT

This Endorsement insures against loss directly resulting from necessary interruption of business during the **Indemnity Period** provided all of the following requirements are met:

- 1.1. the interruption must be caused solely by an **Accident** to an **Object** included in this coverage and situated at the **Location**;
- 1.2. the loss must be as a result of direct physical damage to the **Insured Property**; and
- 1.3. the **Accident** must occur while this Endorsement is in effect.

2. MEASURE OF RECOVERY

The **Insurer** will pay the loss sustained by the business during the **Indemnity Period** by reason of a loss of **Gross Profit** due to:

- 2.1. reduction in **Turnover**; and
- 2.2. increase in cost of working.

The amount that the **Insurer** will pay will be:

- 2.3. for the reduction of **Turnover**: the sum produced by applying the **Rate of Gross Profit** to the amount by which the **Turnover** during the **Indemnity Period** shall solely in consequence of the **Accident** fall short of the **Standard Turnover**;
- 2.4. for the increase in cost of working: the additional expenditure necessary and reasonable incurred for the sole purpose of avoiding or diminishing the reduction in **Turnover** which but for that expenditure would have taken place during the **Indemnity Period** in consequence of the **Accident** not exceeding the sum produced by applying the **Rate of Gross Profit** to the amount of reduction thereby avoided.

EXCLUSIONS

The **Insurer** shall not be liable for payment for any interruption or interference with business:

1. for any time during which the **Insured's** business would not or could not have been carried on if the **Accident** had not occurred;
 2. resulting from the **Insured's** failure to use due diligence and dispatch and all reasonable means in order to resume business after the **Accident**;
 3. due to fines or damages for breach of contract, for late or non-completion of orders, or for any penalties of whatever nature; or
 4. because of a suspension, lapse, or cancellation of any lease, license or order, after the period following any loss during which indemnity is payable.
- With respect to this Endorsement only, **EXCLUSIONS 12., 13., and 14.** contained under the Equipment Breakdown Elite Form are deleted in their entirety.

SPECIAL PROVISIONS

1. LIMIT OF INSURANCE

The **Insurer's** total liability under this Endorsement for loss from **Any One Accident** shall not exceed the **Limit of Insurance** stated in the Declaration Page(s) for this Endorsement. If more than one **Insured** is named, the **Insurer** shall not be liable under this Endorsement for any payment in excess of that for which it would have been liable if only one **Insured** had been named.

The **Insurer's** liability under this Endorsement shall not be limited by the expiration of this Policy.

2. COMMENCEMENT OF LIABILITY

- 2.1. The commencement of the **Insurer's** liability under this Endorsement commences:
 - 2.1.1. the time of the **Accident**; or
 - 2.1.2. twenty-four (24) hours before the notice of **Accident** is received by the **Insurer**;whichever is later.

2.2. If the time in effect at the address to which a notice is sent is different from that in effect at the **Location** where the **Accident** occurred, the time of the receipt of such notice, for the determination of the Commencement of Liability, shall be considered on the basis of the time in effect where the **Accident** occurred;

3. INDEMNITY PERIOD

The **Indemnity Period**, with respect to this Endorsement, is not limited by the fact that the policy period has expired, should a loss extend beyond this date.

4. DEDUCTIBLES

Notwithstanding the deductible applicable to the Equipment Breakdown Elite Form, the **Insurer** is liable for any interruption of business caused by an **Accident** to an **Object** after any waiting period, or greater than any **Average Daily Value** or other deductible amount, which is specified in the Declaration Page(s).

5. MITIGATION

- 5.1. As soon as possible after an **Accident**, the **Insured**, must continue or resume business, in whole or in part, and utilize every available means, including surplus machinery, duplicate parts, equipment, supplies and surplus or reserve stock, other premises or installations or any other means within reasonable limits, which may be owned, controlled or used by the **Insured**, which might reduce the amount for which the **Insurer** would otherwise be liable under this Endorsement. The **Insurer** may take such means as will in the **Insurer's** opinion reduce or avert business interruption at the **Location**;
- 5.2. If the **Insured's** business can be resumed, after the **Accident**, at a location not insured, either by the **Insured** or by others on the **Insured's** behalf, the **Insurer** will take such resumption of business into account in the calculation of the amount of loss;
- 5.3. If during the **Indemnity Period** goods shall be sold or services shall be rendered elsewhere than at the **Location** where the **Accident** occurred, for the benefit of the business either by the **Insured** or by others on the **Insured's** behalf the money paid or payable in respect of such sales or service shall be brought into account in arriving at the **Turnover** during the **Indemnity Period**;
- 5.4. If any standing charges of the business are not insured by this Endorsement, then in computing the amount recoverable hereunder as increase in cost of working, that proportion only of the additional expenditure shall be brought into account which the sum of the **Net Profit** and the **Insured Standing Charges** bears to the sum of the **Net Profit** and all standing charges.

6. COINSURANCE

If at the time of the **Accident**, the **Limit of Insurance** is less than the amount obtained by multiplying the **Annual Turnover** by the **Rate of Gross Profit**, the amount payable shall be proportionately reduced.

7. PREMIUM ADJUSTMENT

If within twelve (12) months of the end of any annual period of insurance, the **Insured** files with the **Insurer** a business interruption report of values, certified by the **Insured** stating the amount of **Gross Profit** applicable to the expired twelve (12) month period (increased in proportion in the case of an **Indemnity Period** greater than twelve (12) months) was less than the **Limit of Insurance** applicable to that period, the **Insurer** will allow, in respect to the difference a return premium not exceeding fifty (50) percent of the premium paid by the **Insured** under this Endorsement for the immediately previous annual period.

If a loss has been paid to the **Insured** during the twelve (12) month period, this indemnity must be included in the amount of **Gross Profit** since no return premium will be allowed for this loss. The **Insurer** reserves the right to inspect the **Insured's** books and records for verification of any statement filed for the purpose of adjusting the premium of this Endorsement.

8. CONDITIONAL SUSPENSION OF COINSURANCE

If coinsurance is waived on the Declaration Page(s) and a Premium Adjustment application form is submitted to the **Insurer** and is certified by an Authorized Representative of the **Insured**, the **Insurer's** liability for loss from an **Accident** occurring after the effective date of this Policy and prior to the expiry date of this Policy the following **SPECIAL PROVISIONS, 6. COINSURANCE** is suspended.

It is further agreed that the following sentence shall be added to the first paragraph of **SPECIAL PROVISIONS, 7. PREMIUM ADJUSTMENT**:

If the **Rate of Gross Profit** earned was greater than the **Limit of Insurance**, the **Insured** will pay in respect of the difference, an additional prorated premium, but in no event shall this provision operate to increase the amount stated as **Limit of Insurance**.

After the expiry date of this Policy, the provisions specified herein shall cease to apply and the terms and provisions of said Loss of Profits Endorsement shall be automatically reinstated without modification; except that if within ninety (90) days following the expiry date of this Policy, the **Insured** has submitted a subsequent Statement of Values, the provisions specified herein are automatically extended to the end of the said ninety (90) days.

9. VERIFICATION OF VALUES

The **Insurer** or a duly appointed representative shall be permitted at all reasonable times during the policy period, or within a year after termination or expiration, to examine the **Insured's** books, records and such policies as relate to any insurance provided in this Endorsement. Such examination shall not waive nor in any manner affect any of the terms or conditions of this Endorsement.

DEFINITIONS

For the purpose of this Endorsement:

1. **Annual Turnover** means the **Turnover** during the twelve (12) months immediately before the date of the **Accident**.

To which such adjustments shall be made as may be necessary to provide for the trend of the business and for variations in or special circumstances affecting the business either before or after the **Accident** or which would have affected the business had the **Accident** not occurred, so that the figures thus adjusted shall represent as nearly as may be reasonably practicable the results which but for the **Accident** would have been obtained during the relative period after the **Accident**.

2. **Average Daily Value** means the amount obtained by dividing the estimated number of working days, during the period of total or partial business interruption, into the sum of the estimated amount of loss as defined in any Business Interruption Endorsement forming part of this Policy, that would have been earned, had no **Accident** occurred during the same period. The words "period of total or partial business interruption" being understood to include any period during which any expense for which the **Insurer** is liable under this Endorsement is incurred by the **Insured** to reduce or avert business interruption.

3. **Gross Profit** means the sum produced by adding to the **Net Profit** the amount of the **Insured Standing Charges** or if there is no **Net Profit** the amount of the **Insured Standing Charges** less such a proportion of any net trading loss as the amount of the **Insured Standing Charges** bears to all standing charges of the business.

4. **Indemnity Period** means the period beginning with the occurrence of the **Accident** and ending no later than twelve (12) months thereafter, during which the results of the business shall be affected as a result of the **Accident**.

If the **Indemnity Period** is different than twelve (12) months, then the **Annual Turnover** shall be multiplied by the factor which proportionately reflects the different **Indemnity Period** as stated in the Declaration Page(s).

5. **Insured Standing Charges** means all standing charges are insured unless otherwise specified in the Declaration Page(s), in which case only those standing charges so specified are insured.

The following shall in no event be deemed to be standing charges:

- 5.1. depreciation of stock;

- 5.2. bad debts;
 - 5.3. **Ordinary payroll;**
 - 5.4. fines or damages for breach of contract; or
 - 5.5. auditors fees incurred in preparing any claim under this coverage.
6. **Net Profit** means the net trading profit (exclusive of all capital receipts and accretions and all outlays properly chargeable to capital) resulting from the **Insured's** business at the **Location** after due provision has been made for all standing and other charges including depreciation but before deduction of any taxation chargeable on profits.
7. **Ordinary Payroll** means the entire payroll for all the **Insured's** employees, except salaries and wages to:
- 7.1. officers;
 - 7.2. executives;
 - 7.3. managers;
 - 7.4. employees under contract; and
 - 7.5. other essential or important employees whose services would not be dispensed with should the business be interrupted or interfered with solely as a result of an **Accident**.
8. **Rate of Gross Profit** means the rate of gross profit earned on the **Turnover** during the financial year immediately before the date of the **Accident**.
To which such adjustments shall be made as may be necessary to provide for the trend of the business and for variations in or special circumstances affecting the business either before or after the **Accident** or which would have affected the business had the **Accident** not occurred, so that the figures thus adjusted shall represent as nearly as may be reasonably practicable the results which but for the **Accident** would have been obtained during the relative period after the **Accident**.
9. **Standard Turnover** means the **Turnover** during that period in the twelve (12) months immediately before the date of the **Accident** which corresponds with the **Indemnity Period**;
to which such adjustment shall be made as may be necessary to provide for the trend of the business and for variations in or special circumstances affecting the business either before or after the **Accident** or which would have affected the business had the **Accident** not occurred, so that the figures thus adjusted shall represent as nearly as may be reasonably practicable the results which but for an **Accident** would have been obtained during the relative period after the **Accident**.
10. **Turnover** means the money paid or payable to the **Insured** for goods sold and delivered and for services rendered in the course of business at the **Location**.

All other terms and conditions of the Policy to which this Endorsement applies remain unchanged.

EQUIPMENT BREAKDOWN ELITE – BUSINESS INTERRUPTION – EXTRA EXPENSE

This Endorsement Changes the Policy. Please Read It Carefully.

Certain words and phrases that appear in bold have special meaning as defined below or in the Policy to which this Endorsement is attached.

The titles of sections or paragraphs listed below should not be considered for purposes of interpreting the intent of this Endorsement; these titles have only been inserted for ease of reading.

This Endorsement is attached to the Equipment Breakdown Elite Form and is subject to all terms, conditions, limitations and exclusions of such Form.

INSURING AGREEMENT

1. INDEMNITY AGREEMENT

- 1.1. The **Insurer** will pay the **Insured** the **Extra Expense** necessarily incurred to continue as nearly as practicable the **Normal** operation of the **Insured's** business during the **Period of Restoration**, subject to the **Limit of Insurance** specified in the Declaration Page(s) for this Policy, if the business carried on by the **Insured** at the **Location** is interrupted solely as a result of an **Accident**, which occurs while this Endorsement is in effect.
- 1.2. The **Insurer** shall be liable for such **Extra Expense** commencing with the date of the **Accident** and, not to be limited by the expiration date of this Policy, for not exceeding such length of time as shall be required with the exercise of due diligence and dispatch to restore the **Normal** operation of the **Insured's** business at the **Location**.

EXCLUSIONS

The **Insurer** shall not be liable for payment for any interruption or interference with business:

1. for any time during which the **Insured's** business would not or could not have been carried on if the **Accident** had not occurred;
 2. resulting from the **Insured's** failure to use due diligence and dispatch and all reasonable means in order to resume business after an **Accident**; or
 3. because of a suspension, lapse, or cancellation of any lease, license or order, after the period following any loss during which indemnity is payable;
- With respect to this Endorsement only, **EXCLUSIONS 12., 13., and 14.**, contained under the Equipment Breakdown Elite Form are deleted in their entirety.

SPECIAL PROVISIONS

1. LIMIT OF INSURANCE

The **Insurer's** liability under this Endorsement, on account of **Any One Accident** shall not exceed the **Limit of Insurance** stated in the Declaration Page(s) for this Endorsement. The amount shall apply irrespective of any other **Limit of Insurance** specified.

If more than one **Insured** is named, the **Insurer** shall not be liable under this Endorsement for any payment in excess of that for which it would have been liable if only one **Insured** had been named.

The **Insurer's** liability under this Endorsement shall not be limited by the expiration of this Policy.

2. COMMENCEMENT OF LIABILITY

- 2.1. The commencement of the **Insurer's** liability under this Endorsement commences:

- 2.1.1. the time of **Accident**; or
- 2.1.2. twenty-four (24) hours before the notice of **Accident** is received by the **Insurer**;

whichever is later.

- 2.2. If the time in effect at the address to which a notice is sent is different from that in effect at the **Location** where the **Accident** occurred, the time of the receipt of such notice, for the determination of the Commencement of Liability, shall be considered on the basis of the time in effect where the **Accident** occurred.

3. INDEMNITY PERIOD

The **Indemnity Period**, with respect to this Endorsement, is not limited by the fact that the policy period has expired, should a loss extend beyond this date.

4. DEDUCTIBLES

Notwithstanding the deductible applicable to the Equipment Breakdown Elite Form, the **Insurer** is liable for any **Extra Expense** caused by an **Accident** to an **Object** after any waiting period, or greater than any **Average Daily Value** or other deductible amount, which is specified in the Declaration Page(s).

5. MITIGATION

- 5.1. As soon as possible after an **Accident**, the **Insured** must continue or resume business, in whole or in part, and utilize every available means, including surplus machinery, duplicate parts, equipment, supplies and surplus or reserve stock, other premises or installations or any other means within reasonable limits, which may be owned, controlled or used by the **Insured**, which might reduce the amount for which the **Insurer** would otherwise be liable under this Endorsement. The **Insurer** may take such means as will in the **Insurer's** opinion reduce or avert business interruption at the **Location**.

- 5.2. If the **Insured's** business can be resumed, after the **Accident**, at a location not insured, either by the **Insured** or by others on the **Insured's** behalf, the **Insurer** will take such resumption of business into account in the calculation of the amount of loss.

DEFINITIONS

For the purpose of this Endorsement:

1. **Average Daily Value** means the amount obtained by dividing the estimated number of working days, during the period of total or partial business interruption, into the sum of the estimated amount of loss as defined in any Business Interruption Endorsement forming part of this Policy, that would have been earned, had no **Accident** occurred during the same period. The words "period of total or partial business interruption" being understood to include any period during which any expense for which the **Insurer** is liable under this Endorsement is incurred by the **Insured** to reduce or avert business interruption.
2. **Extra Expense** means the additional cost to conduct the **Insured's** business during the **Period of Restoration** over and above the cost that normally would have been incurred to conduct the business during the same period had no **Accident** occurred.

This additional cost may include the expense of obtaining and using other property or facilities of other concerns or other necessary emergency expenses.

Extra Expense does not include:

- 2.1. loss of income;
- 2.2. **Extra Expense** in excess of that necessary to continue as nearly as practicable the **Normal** conduct of the **Insured's** business; nor
- 2.3. for the cost of repairing or replacing any property that has been damaged or destroyed by an **Accident**, except such cost incurred for the purpose of reducing the total amount of **Extra Expense**. In this case, this **Extra Expense** must not exceed the amount by which the total **Extra Expense** otherwise payable is reduced.

Any salvage value of substitute or temporary equipment or property remaining after resumption of **Normal** operations is taken into consideration in the adjustment of any loss.

3. **Indemnity Period** means the period beginning with the occurrence of the **Accident** and ending no later than twelve (12) months thereafter, during which the results of the business shall be affected as a result of the **Accident**.
4. **Normal** means the condition that would have existed had no **Accident** occurred.
5. **Period of Restoration** means the period following an **Accident** to resume the **Insured's Normal** operation at the **Location**, with due diligence and dispatch and all reasonable means that the **Insured** has to accelerate the resumption of business.

This **Period of Restoration**:

- 5.1. begins at the time of the commencement of liability; and
- 5.2. ends on the date when the damaged property at the described **Location** is repaired or replaced.

All other terms and conditions of the Policy to which this Endorsement applies remain unchanged.

EQUIPMENT BREAKDOWN ELITE – SPOILAGE DAMAGE

This Endorsement Changes the Policy. Please Read It Carefully.

Certain words and phrases that appear in bold have special meaning as defined below or in the Policy to which this Endorsement is attached.

The titles of sections or paragraphs listed below should not be considered for purposes of interpreting the intent of this Endorsement; these titles have only been inserted for ease of reading.

This Endorsement is attached to the Equipment Breakdown Elite Form and is subject to all terms, conditions, limitations and exclusions of such Form.

INSURING AGREEMENT

1. INDEMNITY AGREEMENT

This Endorsement insures against spoilage to **Specified Property** damaged resulting solely from an **Accident** to an **Object**, in use or connected and ready for use, at a **Location**, up to the **Limit of Insurance** stated in the Declaration Page(s):

- 1.1. the amount of loss or damage on the **Insured's Specified Property**;
- 1.2. the amount of loss or damage on **Specified Property** of others in the care, custody or control of the **Insured** and for which the **Insured** is legally liable; and
- 1.3. the **Accident** must occur while this Endorsement is in effect.

2. MEASURE OF RECOVERY

The **Insurer** will pay for loss sustained by the **Insured** by reason of **Spoilage** subject to the following provisions:

- 2.1. the **Insurer** shall be liable for the lesser of the following:
 - 2.1.1. the amount of loss or damage to the **Specified Property**; or
 - 2.1.2. the **Actual Cash Value** of the **Specified Property**; and
- 2.2. the amount of expenses which is reasonable, incurred by the **Insured** to reduce or avert the loss or damage, but only to the extent that the total amount that otherwise would have been paid under the measure of recovery in 2.1. is thereby reduced.

EXCLUSION

The Insurer shall not be liable for payment for any spoilage:

1. resulting from the failure of the **Insured** to use due diligence and dispatch and all reasonable means to protect the **Specified Property** from damage, following an **Accident**;
- With respect to this Endorsement only, **EXCLUSIONS 13. and 14.** contained under the Equipment Breakdown Elite Form is deleted in its entirety.

SPECIAL PROVISIONS

1. LIMIT OF INSURANCE

The **Insurer's** total liability under this Endorsement, on account of **Any One Accident** shall not exceed the **Limit of Insurance** stated in the Declaration Page(s) for this Endorsement. If more than one **Insured** is named, the **Insurer** shall not be liable under this Endorsement for any payment in excess of that for which it would have been liable if only one **Insured** had been named.

2. DEDUCTIBLES

Notwithstanding the deductible applicable to the Equipment Breakdown Elite Form, the deductible amount specified in the Declaration Page(s) for this Endorsement shall be deducted from the total amount of any loss and expense under this Endorsement, with respect to **Any One Accident**, and no liability shall exist for such amount deducted.

3. COINSURANCE

If at the time of the **Accident**, the **Limit of Insurance** is less than the amount obtained by multiplying the **Percentage of Total Value** specified in the Declaration Page(s) to the **Actual Cash Value** of the **Specified Property** stated in the Declaration Page(s), the amount payable shall be proportionately reduced.

4. MITIGATION

- 4.1. As soon as possible after an **Accident**, the **Insured** must continue or resume business, in whole or in part, and utilize every available means, including surplus machinery, duplicate parts, equipment, supplies and surplus or reserve stock, other location or installations or any other means within reasonable limits, which may be owned, controlled or used by the **Insured**, which might reduce the amount for which the **Insurer** would otherwise be liable under this Endorsement. The **Insurer** may take such means as will in the **Insurer's** opinion reduce or avert business interruption at the **Location**;
- 4.2. If the **Insured's** business can be resumed, after the **Accident**, at a location not insured, either by the **Insured** or by others on the **Insured's** behalf, the **Insurer** will take such resumption of business into account in the calculation of the amount of loss.

DEFINITIONS

For the purpose of this Endorsement:

1. **Percentage of Total Value** means the coinsurance percentage specified in the Declaration Page(s) and refers to the proportion between the **Insured's Limit of Insurance** specified in the Declaration Page(s) and the **Actual Cash Value** of the **Specified Property**.
2. **Specified Property** means property specifically described in the Declaration Page(s), or in any Endorsements as may be attached to this Policy.

All other terms and conditions of the Policy to which this Endorsement applies remain unchanged.

EQUIPMENT BREAKDOWN ELITE – BUSINESS INTERRUPTION – CONTINGENT BUSINESS INTERRUPTION

This Endorsement Changes the Policy. Please Read It Carefully.

Certain words and phrases that appear in bold have special meaning as defined below or in the Policy to which this Endorsement is attached.

The titles of sections or paragraphs listed below should not be considered for purposes of interpreting the intent of this Endorsement; these titles have only been inserted for ease of reading.

This Endorsement is attached to the Equipment Breakdown Elite Form and is subject to all terms, conditions, limitations and exclusions of such Form.

INSURING AGREEMENT

1. The **Insurer** shall be liable for loss from an **Accident** to equipment not owned, operated or controlled by the **Insured** provided that:
 - 1.1. the equipment is of a type described in the definition of **Object**; and
 - 1.2. the equipment is located on the premises of any direct:
 - 1.2.1. customer under contract with the **Insured** to accept the contracted products produced by the **Insured**; or
 - 1.2.2. supplier under contract with the **Insured** to deliver contracted materials to the **Insured**.

SPECIAL PROVISIONS

1. LIMIT OF INSURANCE

The **Insurer's Limit of Insurance** shall not exceed the **Limit of Insurance** stated in the Declaration Page(s).

All other **EXCLUSIONS, SPECIAL PROVISIONS** and **DEFINITIONS** follow the Equipment Breakdown Elite – Business Interruption Endorsement to which this Endorsement is attached and forming part of this Policy.

All other terms and conditions of the Policy to which this Endorsement applies remain unchanged.

VIRUS AND BACTERIA EXCLUSION ENDORSEMENT

This Endorsement Changes the Policy. Please Read It Carefully.

Words and phrases in bold font or quotation marks have special meaning as defined below or in the Form to which this endorsement is attached.

The titles of sections or paragraphs listed below should not be considered for purposes of interpreting the intent of this endorsement. These titles have only been inserted for ease of reading.

This endorsement is attached to and modifies all commercial property coverage forms and endorsements in the policy, including but not limited to any of the following:

PROPERTY COVERAGE, including but not limited to Building and/or Contents Broad Form, Commercial Building and Contents Named Perils Form, Farm Outbuildings and Contents Broad Form and Farm Outbuildings and Contents Named Perils Form, as specified in the Declaration Page(s) for each Location;

BUSINESS INTERRUPTION COVERAGE, including but not limited to Profits, Profits Actual Loss Sustained, Gross Earnings, Gross Rentals, Rental Income and Contingent Business Interruption, as specified in the Declaration Page(s) for each Location;

BUILDERS RISK COVERAGE, as specified in the Declaration Page(s) for each Location;

EQUIPMENT BREAKDOWN COVERAGE, as specified in the Declaration Page(s) for each Location;

MISCELLANEOUS OR OTHER PROPERTY COVERAGE, including but not limited to Contractors Equipment Actual Cash Value Form and Farm Equipment Broad Form, as specified in the Declaration Page(s);

ANY EXTENSIONS, CLAUSES OR ADDITIONS OF COVERAGE to such a base Property, Business Interruption, Builders Risk, Equipment Breakdown, Miscellaneous Form or other form, including exceptions to exclusions.

The following paragraphs are added to the Forms:

- 1.1. This Form does not insure against loss or damage caused directly or indirectly, in whole or in part, by any virus, bacterium or other micro-organism that induces or is capable of inducing physical distress, illness or disease. This exclusion applies whether or not there are one or more other causes or events (whether covered or not) that contribute concurrently or in any sequence to the occasioning of the loss or damage.
- 1.2. The exclusion in paragraph 1.1. does not apply to loss or damage caused directly or indirectly, in whole or in part, by **fungi** or **spores** directly caused by an insured peril not otherwise excluded under the policy, but only to the extent such loss or damage is insured under another Form in the policy.
- 1.3. With respect to any loss or damage subject to the exclusion in paragraph 1.1., such exclusion supersedes any exclusion relating to pollution, **pollutants** or **hazardous substance**.
- 1.4. The terms of the exclusion in paragraph 1.1., or the inapplicability of this exclusion to a particular loss, do not serve to create coverage that would not otherwise be included under the policy.

All other terms and conditions of this policy remain unchanged.

CYBER INCIDENT EXCLUSION

This Endorsement Changes the Policy. Please Read It Carefully.

Words and phrases in bold font or quotation marks have special meaning as defined below or in the Form to which this endorsement is attached.

The titles of sections or paragraphs listed below should not be considered for purposes of interpreting the intent of this endorsement. These titles have only been inserted for ease of reading.

This endorsement is attached to and modifies commercial property coverage forms and endorsements in the policy, including but not limited to any of the following:

PROPERTY COVERAGE, including but not limited to Building and/or Contents Broad Form, Commercial Building and Contents Named Perils Form, Farm Outbuildings and Contents Broad Form and Farm Outbuildings and Contents Named Perils Form, as specified in the Declaration Page(s) for each Location;

BUSINESS INTERRUPTION COVERAGE, including but not limited to Profits, Profits Actual Loss Sustained, Gross Earnings, Gross Rentals, Rental Income and Contingent Business Interruption, as specified in the Declaration Page(s) for each Location;

BUILDERS RISK COVERAGE, as specified in the Declaration Page(s) for each Location;

EQUIPMENT BREAKDOWN COVERAGE, as specified in the Declaration Page(s) for each Location;

MISCELLANEOUS OR OTHER PROPERTY COVERAGE, including but not limited to Contractors Equipment Actual Cash Value Form and Farm Equipment Broad Form, as specified in the Declaration Page(s);

EXTENSIONS, CLAUSES OR ADDITIONS OF COVERAGE to such a base Property, Business Interruption, Builders Risk, Equipment Breakdown, Miscellaneous Form or other form, including exceptions to exclusions.

The following exclusion is added to the EXCLUSIONS Section of the Forms:

1. EXCLUSION

This Form does not insure against loss or damage caused directly or indirectly by a **cyber incident**.

Such loss or damage is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss or damage.

2. EXCEPTIONS AND LIMITATIONS

2.1. Fire or Explosion

If a **cyber incident** results in fire or explosion, the Insurer will pay for the loss or damage to insured property caused by that resulting fire or explosion.

2.2. Privacy Breach Expense Endorsement

Paragraph 1. does not apply to the Privacy Breach Expense Endorsement when such Endorsement is attached to the policy.

3. VANDALISM AND MALICIOUS ACTS

For purposes of this endorsement, vandalism and **malicious acts** do not include a **cyber incident**.

4. DEFINITIONS

For purposes of this endorsement, the following definitions are added to the Definitions Sections:

4.1. **Computer System** means any computer, hardware, media, electronic or digital **data**, software, communications or networking system, electronic device (including but not limited to smart phones, laptops, tablets, wearable devices), server, cloud or microcontroller including any similar system or any configuration of the aforementioned and including any associated input, output, **data** storage device, networking equipment or back-up facility.

4.2. **Cyber Incident** means:

4.2.1. Unauthorized access to or use of any **computer system**;

4.2.2. Malicious code, virus or any other harmful code that is directed at, enacted upon or introduced into any **computer system** and is designed to access, alter, corrupt, damage, delete, destroy, disrupt, encrypt, exploit, use or prevent or restrict access to or the use of any part of any **computer system** or otherwise disrupt its normal functioning or operation; or

4.2.3. Denial of service attack which disrupts, prevents or restricts access to or use of any **computer system**, or otherwise disrupts its normal functioning or operation.

All other terms, conditions and limitations of the policy shall remain unchanged.

GENERAL CONDITIONS – ONTARIO – ATLANTIC REGION

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Throughout this Form the word “Insured” refers to the Named Insured shown in the Declaration Page(s). The word “Insurer” refers to the company providing this insurance.

Other words and phrases that appear in bold have special meaning. Refer to either this Form or to the DEFINITIONS of Liability Coverage forms or the Property Coverage forms attached to this Policy.

The titles of sections or paragraphs listed below should not be considered for purposes of interpreting the intent of this Form; these titles have only been inserted for ease of reading.

The following Conditions, as modified or supplemented by the attached forms or endorsements, apply to all perils insured by this Policy under a Property Coverage form (including fire) or a Liability Coverage. If any portion of these conditions are found to be invalid, unenforceable or contrary to statute, the remainder shall remain in full force and effect.

The following General Conditions are only applicable to the provinces of Ontario, New Brunswick, Nova Scotia, Prince Edward Island and Newfoundland.

SECTION I – PROPERTY COVERAGE STATUTORY CONDITIONS

1. MISREPRESENTATION

If a person applying for insurance falsely describes the property to the prejudice of the Insurer, or misrepresents or fraudulently omits to communicate any circumstance that is material to be made known to the Insurer in order to enable it to judge the risk to be undertaken, the contract is void as to any property in relation to which the misrepresentation or omission is material.

2. PROPERTY OF OTHERS

Unless otherwise specifically stated in the contract, the Insurer is not liable for loss or damage to property owned by any person other than the Insured, unless the interest of the Insured in such property is stated in the contract.

3. CHANGE OF INTEREST

The Insurer is liable for loss or damage occurring after an authorized assignment under the *Bankruptcy and Insolvency Act* (Canada) or change of title by succession, by operation of law, or by death.

4. MATERIAL CHANGE

Any change material to the risk and within the control and knowledge of the Insured voids the contract as to the part affected by the change, unless the change is promptly notified in writing to the Insurer or its local agent. The Insurer, when so notified, may return the unearned portion, if any, of the premium paid and cancel the contract. Alternatively, the Insurer may notify the Insured in writing that, if the Insured desires the contract to continue in force, the Insured must, within fifteen (15) days of the receipt of the notice, pay to the Insurer an additional premium. In default of such payment the contract is no longer in force and the Insurer shall return the unearned portion, if any, of the premium paid.

5. TERMINATION

5.1. This contract may be terminated,

5.1.1. by the Insurer giving to the Insured written notice of termination at least:

5.1.1.1. five (5) days before the effective date of termination if personally delivered;

5.1.1.2. fifteen (15) days before the effective date of termination if the contract is terminated by registered mail for nonpayment of premium; or

5.1.1.3. thirty (30) days before the effective date of termination if the contract is terminated by registered mail for any other reason.

5.1.2. by the Insured at any time on request.

5.2. When this contract is terminated by the Insurer,

5.2.1. the Insurer shall refund the excess of premium actually paid by the Insured over the proportionate premium for the expired time, subject to any minimum retained premium specified; and

5.2.2. the refund shall accompany the notice, unless the premium is subject to adjustment or determination as to amount, in which case the refund shall be made as soon as practicable.

5.3. When this contract is terminated by the Insured, the Insurer shall refund as soon as practicable the excess of premium actually paid by the Insured over the short rate premium for the expired time, but in no event shall the short rate premium for the expired time be deemed to be less than any minimum retained premium specified.

5.4. The refund may be made by money, postal or express company money order or cheque payable at par.

5.5. The fifteen (15) and thirty (30) days mentioned in clauses 5.1.1.2. and 5.1.1.3. of this condition commence to run on the day following the receipt of the registered letter at the post office to which it is addressed.

Special condition applicable to Condominium Corporations:

In those jurisdictions where provincial legislation under which the **Condominium Corporation** is constituted prescribes different policy termination conditions from those contained in the Statutory Conditions or General Conditions of this Policy as the case may be, such prescribed conditions shall apply.

6. REQUIREMENTS AFTER LOSS

6.1. Upon the occurrence of any loss of or damage to the insured property, the Insured shall, if the loss or damage is covered by the contract, in addition to observing the requirements of conditions 9, 10 and 11,

6.1.1. immediately give notice of the loss or damage in writing to the Insurer;

6.1.2. deliver as soon as practicable to the Insurer a proof of loss verified by a statutory declaration,

6.1.2.1. giving a complete inventory of the lost or damaged property and showing in detail quantities, costs, actual cash value and particulars of amount of loss claimed,

6.1.2.2. stating when and how the loss occurred, and if caused by fire or explosion due to ignition, how the fire or explosion originated, so far as the Insured knows or believes,

6.1.2.3. stating that the loss did not occur through any willful act or neglect or the procurement, means or connivance of the Insured,

6.1.2.4. showing the amount of other insurances and the names of other Insurers,

6.1.2.5. showing the interest of the Insured and of all others in the property with particulars of all mortgages, liens, encumbrances and other charges upon the property,

6.1.2.6. showing any changes in title, use, occupation, location, possession or exposures of the property since the issue of the contract,

- 6.1.2.7. showing the place where the insured property was located at the time of loss or damage;
- 6.1.3. if required, give a complete inventory of undamaged property, showing in detail quantities, cost, actual cash value;
- 6.1.4. if required and if practicable, produce accounts, warehouse receipts, stock lists, invoices and other pertinent records, verified by statutory declaration, as well as any relevant contracts or agreements with others.
- 6.2. The evidence furnished under clauses 6.1.3. and 6.1.4. of this condition shall not be considered proofs of loss within the meaning of conditions 12 and 13.
- 7. FRAUD**
Any fraud or willfully false statement in a statutory declaration in relation to any of the above particulars, vitiates the claim of the person making the declaration.
- 8. WHO MAY GIVE NOTICE AND PROOF**
In case of absence or inability of the Insured to give notice of loss or make proof of loss, notice of loss may be given and proof of loss may be made by the agent of the Insured. If the Insured fails to give notice immediately, the notice of loss may be given and the proof of loss may be made by a person to whom any part of the insurance money is payable.
- 9. SALVAGE**
9.1. The Insured, in the event of any loss or damage to any insured property, shall take all reasonable steps to prevent further damage to such property and to prevent damage to other insured property, including, if necessary, removal to a secure location.
9.2. The Insurer shall contribute proportionately, according to the respective interests of the parties, towards any reasonable and proper expenses in connection with steps taken by the Insured and required under subsection 9.1. of this condition.
- 10. ENTRY, CONTROL, ABANDONMENT**
After loss or damage to insured property, the Insurer has an immediate right of access and entry by accredited agents sufficient to enable them to survey and examine the property, and to make an estimate of the loss or damage. After the Insured has secured the property, the Insurer has a further right of access and entry sufficient to enable its agents to make appraisal or particular estimate of the loss or damage. The Insurer is not entitled to the control or possession of the insured property. There can be no abandonment of insured property to the Insurer without the Insurer's consent.
- 11. APPRAISAL**
In the event of disagreement as to the value of the insured property or the value of the property saved or the amount of the loss, those questions shall be determined by appraisal as provided under the Insurance Act before there can be any recovery under this contract, whether the right to recover on the contract is disputed or not, and independently of all other questions. There shall be no right to an appraisal until a specific demand for one is made in writing and until proof of loss has been delivered.
- 12. WHEN LOSS PAYABLE**
The loss is payable within sixty (60) days after completion of the proof of loss, unless the contract provides for a shorter period.
- 13. REPLACEMENT**
13.1. The Insurer, instead of making payment, may repair, rebuild, or replace the property lost or damaged, giving written notice of its intention to do so within thirty (30) days after receipt of the proof of loss.
13.2. In that event, the Insurer shall commence to repair, rebuild, or replace the property within forty-five (45) days after receipt of the proof of loss, and shall proceed with all due diligence to completion of the work.
- 14. ACTION**
Every action or proceeding against the Insurer for the recovery of any claim shall be absolutely barred unless commenced within one (1) year after the loss or damage occurs.
- 15. NOTICE**
Any written notice to the Insurer may be sent by **registered** mail or delivered to the chief agency or any office of the Insurer in Canada. Written notice may be given to the Insured by letter personally delivered to the Insured or by **registered** mail addressed to the Insured at the Insured's latest post office address as notified to the Insurer. In this condition, the expression **registered** means registered in or outside Canada.

ADDITIONAL CONDITIONS (Property Coverage)

- 1. NOTICE TO AUTHORITIES**
Where the loss is due to malicious mischief, burglary, robbery, theft, or attempt thereof, or is suspected to be so due, the Insured shall give immediate notice thereof to the police or other authorities having jurisdiction.
- 2. SUE AND LABOUR**
It is the duty of the Insured in the event that any property insured hereunder is lost to take all reasonable steps in and about the recovery of such property. The Insurer shall contribute pro rata towards any reasonable and proper expenses in connection with the foregoing according to the respective interests of the parties.
- 3. BASIS OF SETTLEMENT**
Unless otherwise provided, the Insurer is not liable beyond the actual cash value of the property at the time any loss or damage occurs and the loss or damage shall be ascertained or estimated according to such actual cash value with proper deduction for depreciation, however caused, and shall in no event exceed what it would then cost to repair or replace the same with material of like kind and quality.
- 4. SUBROGATION**
The Insurer, upon making any payment or assuming liability for payment under this Policy, shall be subrogated to all rights of recovery of the Insured against others, and may bring action to enforce such rights. All rights of subrogation are waived against any corporation, firm, individual or other interest with respect to which insurance is provided by this Policy.
Where the net amount recovered, after deducting the costs of recovery, is not sufficient to provide a complete indemnity for the loss or damage suffered, that amount shall be divided between the Insurer and the Insured in the proportion in which the loss or damage has been borne by them respectively.
Any release from liability entered into by the Insured prior to loss shall not affect the right of the Insured to recover.
Special condition applicable to Condominium Corporations
Except with respect to criminal act or intentional acts or vehicle impact, the Insurer agrees with the Insured to waive its right of subrogation as to any claim against:
- the **Condominium Corporation**, its Directors, Property Managers, agents and employees; and
- the owner of a unit and, if residents of the household of the owner of a unit, his or her **spouse**, the relatives of either and any other person under the age of 21 in the care of an owner of a unit or his or her spouse. **Spouse** means a person who is married to or has entered into a civil union with another person of the opposite or the same sex and is living with that person for at least three years or for at least one year if a child was born or adopted of their union.
Independent contractors shall not be considered agents or employees of the **Condominium Corporation**, its Directors, Property Managers, or of the unit owners.
The Insurer, upon making any payment or assuming liability for payment under this Policy, shall be subrogated to all rights of recovery of the Insured against others, and may bring action to enforce such rights. All rights of subrogation are waived against any corporation, firm, individual or other interest with respect to which insurance is provided by this Policy.

Where the net amount recovered, after deducting the costs of recovery, is not sufficient to provide a complete indemnity for the loss or damage suffered, that amount shall be divided between the Insurer and the Insured in the proportion in which the loss or damage has been borne by them respectively.

Any release from liability entered into by the Insured prior to loss shall not affect the right of the Insured to recover.

5. EXAMINATION UNDER OATH

In the event of loss or damage to the insured property, the Insured shall submit to examination under oath or warrant to the truth and shall produce all documents required by the Insurer and shall permit copies thereof to be made.

6. CANADIAN CURRENCY CLAUSE

All limits of insurance, premiums and other amounts as expressed in this Policy are in Canadian currency.

7. CONTRIBUTION

If, on the happening of any loss or damage to property in consequences of which a claim is or may be made under this Policy, there is in force more than one contract covering the same interest, the liability of the Insurer under this Policy shall be limited to its proportionate share of such claim.

8. VERIFICATION OF VALUES

The Insurer or its duly appointed representative shall be permitted at all reasonable times during the policy period, or within a year after termination or expiration, to inspect the insured property and to examine the Insured's books, records and such policies as relate to any insured property. Such inspection or examination shall not waive nor in any manner affect any of the terms or conditions of this Form.

9. BREACH OF CONDITION

- 9.1. If the Insured does not comply with a condition of this insurance, any claim for subsequent loss or damage is not recoverable.

The Insurer will not deny a claim for this reason if the Insured proves that the non-compliance neither caused nor worsened the loss or damage. Coverage will not be affected if the Insured fails to comply with a condition in part of the **premises** over which the Insured has no control.

- 9.2. Special condition applicable to Condominium Corporations:

Where a loss occurs and there has been a breach of condition relating to a matter before the happening of the loss, which breach would otherwise disentitle the Insured from recovery under this Policy, the breach shall not disentitle the Insured from recovery if the Insured establishes that the loss was not caused or contributed to by the breach of condition.

It is further agreed that this insurance shall not be prejudiced by:

- 9.2.1. any act or neglect of any occupants or owners of the **building** or any part thereof when such act or neglect is not within the control of the **Condominium Corporation**, or
- 9.2.2. failure of the **Condominium Corporation** to comply with any warranty or condition herein with regard to any portion of the **premises** over which the **Condominium Corporation** has no control.

10. REINSTATEMENT

Unless specified otherwise in this Policy, losses hereunder shall not reduce the amount of insurance of this Policy.

11. LOSS PAYABLE

Special clause applicable to Condominium Corporations

Loss, if any, shall be payable in accordance with the provisions of the provincial legislation under which the **Condominium Corporation** is constituted. If the legislation has no such provisions, loss, if any, shall be payable as stated on the Declaration Page(s).

12. PROPERTY OF OTHERS – CONDOMINIUMS

Special condition applicable to Condominium Corporations

At the option of the Insurer, any loss may be paid to the Insured or adjusted with and paid to the customer or the owner of the property.

GENERAL INSURING AGREEMENT APPLICABLE TO THIS POLICY

1. In consideration of the premium specified and the statements contained in the Declaration Page(s) and the conditions, stipulations and declarations contained in the Forms and Endorsements, the Insurer agrees to insure the Insured named in the Declaration Page(s) to the extent provided by the Forms and Endorsements for the policy period.

By acceptance of this Policy, the Insured acknowledges the cancellation from the effective date of this Policy, of any previous policy (or the renewal thereof) which is stated in the Declaration Page(s) as replaced.

2. TERMINATION

Notwithstanding anything contained to the contrary in the Conditions specifically applying to each section of this Policy, the Termination condition of the Commercial Property Policy Conditions of this Policy may at the Insurer's option be applied to the contract entirely.

3. DEFINITION

Wherever the word "policy", "contract" (meaning the insurance contract) or "insurance" (meaning the insurance contract) is used in the Conditions applicable to this Policy or in the Forms and Endorsements forming part thereof, such word shall be held to apply only to the specific cover provided by that Section and by the Forms and Endorsements forming part thereof.

STANDARD MORTGAGE CLAUSE

(Approved By The Insurance Bureau of Canada)

It is hereby provided and agreed that:

- BREACH OF CONDITIONS BY MORTGAGOR OWNER OR OCCUPANT** – The insurance and every documented renewal thereof – AS TO THE INTEREST OF THE MORTGAGEE ONLY THEREIN – is and shall be in force notwithstanding any act, neglect, omission or misrepresentation attributable to the mortgagor, owner or occupant of the property insured, including transfer of interest, any vacancy or non-occupancy, or the occupation of the property for purposes more hazardous than specified in the description of the risk:
PROVIDED ALWAYS that the Mortgagee shall notify forthwith the Insurer (if known) of any vacancy or non-occupancy extending beyond thirty (30) consecutive days, or of any transfer of interest or increased hazard THAT SHALL COME TO THE MORTGAGEE'S KNOWLEDGE; and that every increase of hazard (not permitted by the policy) shall be paid for by the Mortgagee – on reasonable demand – from the date such hazard existed, according to the established scale of rates for the acceptance of such increased hazard, during the continuance of this insurance.
- RIGHT OF SUBROGATION** – Whenever the Insurer pays the Mortgagee any loss award under this Policy and claims that – as to the Mortgagor or Owner – no liability therefore existed, it shall be legally subrogated to all rights of the Mortgagee against the Insured; but any subrogation shall be limited to the amount of such loss payment and shall be subordinate and subject to the basic right of the Mortgagee to recover the full amount of its mortgage equity in priority to the Insurer; or the Insurer may at its option pay the Mortgagee all amounts due or to become due under the mortgage or on the security thereof, and shall thereupon receive a full assignment and transfer of the mortgage together with all securities held as collateral to the mortgage debt.
- OTHER INSURANCE** – If there be other valid and collectible insurance upon the property with loss payable to the Mortgagee – at law or in equity – then any amount payable thereunder shall be taken into account in determining the amount payable to the Mortgagee.
- WHO MAY GIVE PROOF OF LOSS** – In the absence of the Insured, or the inability, refusal or neglect of the Insured to give notice of loss or deliver the required Proof of Loss under the policy, then the Mortgagee may give the notice upon becoming aware of the loss and deliver as soon as practicable the Proof of Loss.
- TERMINATION** – The term of this Mortgage Clause coincides with the term of the policy; Provided always that the Insurer reserves the right to cancel the policy as provided by Statutory provision but agrees that the Insurer will neither terminate nor alter the policy to the prejudice of the Mortgagee without the notice stipulated in such Statutory provision.
- FORECLOSURE** – Should title or ownership to said property become vested in the Mortgagee and/or assigns as owner or purchaser under foreclosure or otherwise, this insurance shall continue until expiry or cancellation for the benefit of the said Mortgagee and/or assigns.
SUBJECT TO THE TERMS OF THE MORTGAGE CLAUSE (and these shall supersede any policy provisions in conflict therewith BUT ONLY AS TO THE INTEREST OF THE MORTGAGEE), loss under this Policy is made payable to the Mortgagee.

CLAUSE TYPE RELATIVE AUX GARANTIES HYPOTHÉCAIRES

(Approuvée par le Bureau d'Assurance du Canada)

- VIOLATIONS DU CONTRAT** – Ne sont pas opposables aux créanciers hypothécaires les actes, négligences ou déclarations des propriétaires, locataires ou occupants des biens assurés, notamment en ce qui concerne les transferts d'intérêts, la vacance ou l'inoccupation, ou l'affectation des lieux à des fins plus dangereuses que celles déclarées.
Les créanciers hypothécaires sont tenus d'aviser l'Assureur (si ce dernier leur est connu) dès qu'ils sont au courant de toute inoccupation ou vacance de plus de trente jours consécutifs, de tout changement dans les droits de propriété ou de toute aggravation du risque, à charge pour eux d'acquitter, sur demande raisonnable, les surprime afférentes aux aggravations dépassant les normes d'acceptation fixées pour le présent contrat et cela au tarif établi à cet égard et pour la durée du contrat restant à courir à compter du début des aggravations en question.
- SUBROGATION** – À concurrence des indemnités versées par lui aux créanciers hypothécaires, l'Assureur est subrogé dans les droits de ces derniers contre les débiteurs ou propriétaires auxquels il se croit justifié d'opposer un motif de non-garantie, les créanciers hypothécaires n'en demeurant pas moins en droit de recouvrer le solde de leurs créances avant que la subrogation ci-dessus puisse être exercée. L'Assureur se réserve cependant le droit d'acquitter les créances intégralement, auquel cas il a droit au transfert de celles-ci et de toutes les sûretés les garantissant.
- PLURALITÉ D'ASSURANCES** – Si d'autres assurances sont, à quelque titre que ce soit, acquises aux créanciers hypothécaires, les indemnités qu'ils peuvent en recevoir doivent être prises en ligne de compte pour la détermination des sommes qui leur sont payables.
- PRÉSENTATION DES DEMANDES D'INDEMNITÉ** – En cas d'absence ou incapacité de l'Assuré, ou s'il refuse ou néglige de présenter les déclarations de sinistre ou formulaires de demandes d'indemnité exigées par le contrat, ces déclarations peuvent en être faites par les créanciers hypothécaires dès qu'ils sont au courant des sinistres, les formulaires de demande devant dès lors être produits par eux dans les meilleurs délais.
- CESSATION** – Les effets de la présente clause prennent fin en même temps que le contrat, sous réserve des droits de résiliation dont l'Assureur peut se prévaloir aux termes de ce dernier, et à charge pour l'Assureur de se conformer aux dispositions de l'article 5 des Conditions légales, et de donner aux créanciers hypothécaires le préavis exigé de toute résiliation ou modification pouvant leur causer préjudice.
- SAISIE** – Si les créanciers hypothécaires ou leurs ayants droit acquièrent, par saisie ou autrement, les titres ou les droits de propriété des biens assurés, ils ont droit dès lors au bénéfice de la présente assurance tant qu'elle demeure en vigueur.
Aux conditions ci-dessus (lesquelles doivent par ailleurs prévaloir en ce qui concerne les intérêts des créanciers hypothécaires contre toutes celles du contrat en conflit avec elles), les sinistres sont payables directement aux créanciers hypothécaires ou à leurs ayants droit.

Cancellation Agreement

This is to certify that the undersigned insured and other interested parties, where applicable, named in this Policy acknowledge the termination of the insurance coverage provided under this Policy effective _____ 20 ____ at 12:01 a.m. Standard Time at the postal address of the named insured.

Signature of Insured: _____

Résiliation

Ceci est pour attester que l'assuré, et la personne ayant droit à toute partie du montant de garantie où applicable, nommé, dans le contrat accuse réception que le présent contrat est résilié à partir de _____ 20 ____ à 0h 01 heure normale à l'adresse du proposant.

Signature de l'Assuré: _____

SECTION II – LIABILITY CONDITIONS

If similar liability conditions are contained in the liability forms forming part of this Policy, those conditions prevail over the following provisions.

1. BANKRUPTCY

Bankruptcy or insolvency of the Insured or of the Insured's estate will not relieve the Insurer of the Insurer's obligation under this Policy.

2. CANADIAN CURRENCY CLAUSE

All limits of insurance, premiums and other amounts are in Canadian currency.

3. CHANGES

This Policy contains all the agreements between the Named Insured and the Insurer concerning the insurance afforded. The first Named Insured shown in the Declaration Page(s) is authorized to make changes in the terms of this Policy with the Insurer's consent. This Policy's terms can be amended or waived only by endorsement issued by the Insurer and made a part of this Policy.

4. DUTIES IN THE EVENT OF OCCURRENCE, OFFENCE, CLAIM OR ACTION

- 4.1. The Named Insured must see to it that the Insurer is notified as soon as practicable of an **occurrence** or an offence which may result in a claim. To the extent possible, notice should include:
 - 4.1.1. How, when and where the **occurrence** or offence took place;
 - 4.1.2. The names and addresses of any injured persons and witnesses; and
 - 4.1.3. The nature and location of any injury or damage arising out of the **occurrence** or offence.
- 4.2. If a claim is made or **action** is brought against any Insured, the Named Insured must:
 - 4.2.1. Immediately record the specifics of the claim or **action** and the date received; and
 - 4.2.2. Notify the Insurer as soon as practicable.The Named Insured must see to it that the Insurer receives written notice of the claim or **action** as soon as practicable.
- 4.3. The Named Insured and any other involved Insured must:
 - 4.3.1. Immediately send the Insurer copies of any demands, notices, summonses or legal papers received in connection with the claim or **action**;
 - 4.3.2. Authorize the Insurer to obtain records and other information;
 - 4.3.3. Cooperate with the Insurer in the investigation or settlement of the claim or defence against the **action**; and
 - 4.3.4. Assist the Insurer, upon the Insurer's request, in the enforcement of any right against any person or organization which may be liable to the Insured because of injury or damage to which this insurance may also apply.
- 4.4. No Insured will, except at that Insured's own cost, voluntarily make a payment, assume any obligation, or incur any expense, other than for first aid, without the Insurer's consent.

5. EXAMINATION OF THE NAMED INSURED'S BOOKS AND RECORDS

The Insurer may examine and audit the Named Insured's books and records as they relate to this Policy at any time during the **policy period** and up to three (3) years afterward.

6. INSPECTIONS AND SURVEYS

- 6.1. The Insurer has the right to:
 - 6.1.1. Make inspections and surveys at any time;
 - 6.1.2. Give the Named Insured reports on the conditions the Insurer finds; and
 - 6.1.3. Recommend changes.
- 6.2. The Insurer is not obligated to make any inspections, surveys, reports or recommendations and any such actions the Insurer does undertake relate only to insurability and the premiums to be charged. The Insurer does not make safety inspections. The Insurer does not undertake to perform the duty of any person or organization to provide for the health or safety of workers or the public. And the Insurer does not warrant that conditions:
 - 6.2.1. Are safe or healthful; or
 - 6.2.2. Comply with laws, regulations, codes or standards.
- 6.3. Sub-paragraphs 6.1. and 6.2. of this condition apply not only to the Insurer, but also to any rating, advisory, rate service or similar organization which makes insurance inspections, surveys, reports or recommendations.
- 6.4. Sub-paragraph 6.2. of this condition does not apply to any inspections, surveys, reports or recommendations the Insurer may make relative to certification, under provincial or municipal statutes, ordinances, by-laws or regulations, of boilers, pressure vessels or elevators.

7. LEGAL ACTION AGAINST THE INSURER

No person or organization has a right under this Policy:

- 7.1. To join the Insurer as a party or otherwise bring the Insurer into an **action** asking for **compensatory damages** from an Insured; or
- 7.2. To sue the Insurer on this Policy unless all of its terms have been fully complied with.

A person or organization may sue the Insurer to recover on an agreed settlement or on a final judgment against an Insured; but the Insurer will not be liable for **compensatory damages** that are not payable under the terms of this Policy or that are in excess of the applicable limit of insurance. An agreed settlement means a settlement and release of liability signed by the Insurer, the Insured and the claimant or the claimant's legal representative.

Every **action** or proceeding against an Insurer for the recovery of insurance money payable under contract is absolutely barred unless commenced within the time set out in the Insurance Act or other applicable legislation.

8. OTHER INSURANCE

If other valid and collectible insurance is available to the Insured for a loss the Insurer covers by this Policy, the Insurer's obligations are limited as follows:

- 8.1. Primary Insurance
This insurance is primary except when sub-paragraph 8.2. below applies. If this insurance is primary, the Insurer's obligations are not affected unless any of the other insurance is also primary. Then, the Insurer will share with all that other insurance by the method described in sub-paragraph 8.3. below.
- 8.2. Excess Insurance
This insurance is excess over:
 - 8.2.1. any of the other insurance, whether primary, excess, contingent or on any other basis:
 - 8.2.1.1. that is Fire, Extended Coverage, Builder's Risk, Installation Risk or similar coverage for **your work**;
 - 8.2.1.2. that is Fire insurance for premises rented to the Named Insured or temporarily occupied by the Named Insured with permission of the owner;
 - 8.2.1.3. If the loss arises out of the maintenance or use of watercraft or **automobile** not otherwise excluded under this Policy.

8.2.2. any other primary insurance available to the Named Insured covering liability for **compensatory damages** arising out of the premises or operations or **products-completed operations hazard** for which the Named Insured has been added as an additional insured by attachment of an Endorsement.

8.2.3. Excess Insurance (Claims Made Form)

If this Policy provides claims-made coverage, this insurance is excess over any of the other insurance (whether primary, excess, contingent or on any other basis) that is effective prior to the beginning of the **policy period** shown in the Declaration Page(s) of this insurance and applies to **bodily injury, property damage, personal injury or advertising injury** on other than a claims-made basis.

When this insurance is excess, the Insurer will have no duty to defend the Insured against any **action** if any other insurer has a duty to defend the Insured against that **action**. If no other insurer defends, the Insurer will undertake to do so, but the Insurer will be entitled to the Insured's rights against all those other insurers.

When this insurance is excess over other insurance, the Insurer will pay only the Insured's share of the amount of the loss, if any, that exceeds the sum of:

8.2.4. the total amount that all such other insurance would pay for the loss in the absence of this insurance; and

8.2.5. the total of all deductible and self-insured amounts under all that other insurance.

The Insurer will share the remaining loss, if any, with any other insurance that is not described in this Excess Insurance provision and was not bought specifically to apply in excess of the Limits of Insurance shown in the Declaration Page(s) of this Policy.

8.3. Method of Sharing

If all of the other insurance permits contribution by equal shares, the Insurer will follow this method also. Under this approach each insurer contributes equal amounts until it has paid its applicable limit of insurance or none of the loss remains, whichever comes first.

If any of the other insurance does not permit contribution by equal shares, the Insurer will contribute by limits. Under this method, each insurer's share is based on the ratio of its applicable limit of insurance to the total applicable limits of insurance of all insurers.

9. PREMIUM AUDIT

9.1. The Insurer will compute all premiums for this Policy in accordance with the Insurer's rules and rates.

9.2. Premium shown in this Policy as advance premium is a deposit premium only. At the close of each audit period the Insurer will compute the earned premium for that period. Audit premiums are due and payable on notice to the first Named Insured. If the sum of the advance and audit premiums paid for the **policy period** is greater than the earned premium, the Insurer will return the excess to the first Named Insured subject to the retention of the minimum retained premium shown in the Declaration Page(s) of this Policy.

9.3. The first Named Insured must keep records of the information the Insurer needs for premium computation, and send the Insurer copies at such times as the Insurer may request.

10. PREMIUMS

The first Named Insured shown in the Declaration Page(s):

10.1. Is responsible for the payment of all premiums; and

10.2. Will be the payee for any return premiums the Insurer pays.

11. REPRESENTATIONS

By accepting this Policy, the Named Insured agrees:

11.1. The statements in the Declaration Page(s) are accurate and complete;

11.2. Those statements are based upon representations the Named Insured made to the Insurer; and

11.3. The Insurer has issued this Policy in reliance upon the Named Insured's representations.

12. SEPARATION OF INSUREDS, CROSS LIABILITY

Except with respect to the Limits of Insurance, and any rights or duties specifically assigned in this policy to the first Named Insured, this insurance applies:

12.1. As if each Named Insured were the only Named Insured; and

12.2. Separately to each Insured against whom claim is made or **action** is brought.

13. TRANSFER OF RIGHTS OF RECOVERY AGAINST OTHERS TO THE INSURER

If the Insured has rights to recover all or part of any payment the Insurer has made under this Policy, those rights are transferred to the Insurer. The Insured must do nothing after loss to impair them. At the Insurer's request, the Insured will bring **action** or transfer those rights to the Insurer and help the Insurer enforce them.

14. TRANSFER OF THE NAMED INSURED'S RIGHTS AND DUTIES UNDER THIS POLICY

The Named Insured's rights and duties under this Policy may not be transferred without the Insurer's written consent except in the case of death of an individual Named Insured.

If the Named Insured dies, the Named Insured's rights and duties will be transferred to the Named Insured's legal representative but only while acting within the scope of duties as the Named Insured's legal representative. Until the Named Insured's legal representative is appointed, anyone having proper temporary custody of the Named Insured's property will have the Named Insured's rights and duties but only with respect to that property.

15. PROVISIONAL PREMIUM

If the premium shown in this Policy is a provisional premium, the Insurer will, at the end of each audit period, compute the earned premium for that period. Audit premiums are due and payable on notice to the Named Insured. If the sum of the advance and audit premiums paid for the policy term is greater than the earned premium, the Insurer will return the excess to the Named Insured subject to the retention of the minimum premium shown in the Declarations of this Policy.

16. TERMINATION

16.1. The first Named Insured shown in the Declaration Page(s) may terminate this Policy by mailing or delivering to the Insurer advance written notice of termination.

16.2. The Insurer may terminate this Policy by mailing or delivering to the first Named Insured written notice of termination at least:

16.2.1. Five (5) days before the effective date of termination if personally delivered;

16.2.2. Fifteen (15) days before the effective date of termination if the Insurer terminates for non-payment of premium; or

16.2.3. Thirty (30) days before the effective date of termination if the Insurer terminates for any other reason.

16.3. The Insurer will mail or deliver the notice to the first Named Insured's last mailing address known to the Insurer.

16.4. The policy period will end on the date termination takes effect.

16.5. If this Policy is terminated, the Insurer will send the first Named Insured any premium refund due. If the Insurer terminates, the refund will be pro rata. If the first Named Insured terminates, the refund may be less than pro rata. The termination will be effective even if the Insurer has not made or offered a refund. If the premium is provisional, a premium audit will take place as per Paragraph 15. **PROVISIONAL PREMIUM**.

ADDITIONAL CONDITIONS APPLICABLE ONLY TO THE COMMERCIAL UMBRELLA LIABILITY POLICY AND COMMERCIAL EXCESS LIABILITY POLICY

1. ASSIGNMENT

Assignment of interest under this Form will not bind the Insurer until its consent is evidenced by an endorsement to this Form. If, however, the Named Insured will die or be adjudged bankrupt or insolvent, this insurance, unless cancelled, will cover the Insured's legal representative as the Named Insured for the unexpired portion of such period, but only while acting within the scope of his or her duties as such.

2. SUBROGATION

- 2.1. In as much as insurance under this Form is excess coverage, an Insured's right of recovery against any person or other entity cannot be exclusively subrogated to the Insurer. In case of any payment hereunder, the Insurer will act in concert with all other interests (including the Insured) concerned, in the exercise of such rights of recovery.
- 2.2. The apportioning of any amounts which may be so recovered will follow the principle that any interests (including the Insured) that will have paid any amount over and above any payment hereunder, will first be reimbursed up to the amount paid by them; the Insurer is then to be reimbursed out of any balance then remaining up to the amount paid hereunder; lastly, the interests (including the Insured) of whom this coverage is in excess are entitled to claim the residue, if any, but a different apportionment may be made to effect settlement of a claim by agreement signed by all interests.
- 2.3. Expenses necessary to the recovery of any such amounts will be apportioned between the interests (including the Insured) concerned, in the ratio of their respective recoveries as finally settled.

ADDITIONAL CONDITION APPLICABLE TO BOTH LIABILITY AND PROPERTY

1. TRADE AND ECONOMIC SANCTIONS

The Insurer shall not provide any coverage or be liable to provide any indemnity or payment or other benefit under this Policy if and to the extent that doing so would breach any **Prohibition**.

For the purposes of this Clause:

1. **Prohibition** means any prohibition or restriction imposed by law or regulation including but not limited to:

- 1.1. trade and/or economic sanctions laws and/or regulations of Canada, the United Kingdom, or any other jurisdiction or authority relevant to the parties; and
- 1.2. any activities that would be subject to a license requirement under those laws and/or regulations in respect of transit and/or export control, unless such license has been obtained prior to the activity commencing and the Insurer has approved the provision of insurance for the activity.

All other terms and conditions of the Policy remain unchanged.

RSA CONVERSION ENDORSEMENT DIFFERENCE IN CONDITIONS, DEDUCTIBLE AMOUNTS AND LIMITS OF INSURANCE – EQUIPMENT BREAKDOWN ELITE

This Endorsement Changes the Policy. Please Read It Carefully.

Certain words and phrases that appear in bold have special meaning as defined below or in the Form to which this Endorsement is attached.

The titles of sections or paragraphs listed below should not be considered for purposes of interpreting the intent of this Form; these titles have only been inserted for ease of reading.

This Endorsement supersedes and replaces any other Difference in Conditions, Deductible Amounts and Limits of Insurance endorsement that has been attached to and that has formed part of this Policy or any policy issued by the Royal & Sun Alliance Insurance Company of Canada and/or its affiliated companies.

It is understood and agreed:

1. Except as provided under paragraph 2. below and notwithstanding any contrary provisions in this Policy, the coverage granted by this Policy shall not be more restrictive than the coverage within the policy issued by the Royal & Sun Alliance Insurance Company of Canada and/or its affiliated companies that was in force at the expiration of the immediately preceding policy term, subject to the following conditions:
 - 1.1. **Difference in Coverage**
If the coverage provided and attached to the present Policy is more restrictive than the same coverage provided in the directly equivalent policy last issued by the Royal & Sun Alliance Insurance Company of Canada and/or its affiliated companies that was in force at the expiration of such preceding policy term, the latter shall take precedence;
 - 1.2. **Difference in Deductible Amounts**
If the deductible amount applicable to one of the coverages attached to the present Policy is higher than the deductible amount applicable to the same coverage provided in the directly equivalent policy last issued by the Royal & Sun Alliance Insurance Company of Canada and/or its affiliated companies that was in force at the expiration of such preceding policy term, the latter shall take precedence;
 - 1.3. **Difference in Limits of Insurance**
If a limit of insurance specified for a coverage included within the present Policy is lower than the limit of insurance specified for the same coverage provided in the directly equivalent policy last issued by the Royal & Sun Alliance Insurance Company of Canada and/or its affiliated companies that was in force at the expiration of such preceding policy term, the latter shall take precedence;
2. The coverage provided under this endorsement does not apply to:
 - 2.1. amendments made to this Policy that are imposed by law;
 - 2.2. amendments made to this Policy at the request of the Insured;
 - 2.3. amendments made to this Policy for which a specific notice has been given to the Insured or broker;
 - 2.4. amendments made to this Policy as a result of renewal terms or mid term changes offered and accepted by the Insured;
 - 2.5. any coverages, exclusions or changes to coverages outlined in Section 4. **ADDITIONAL CONDITIONS** below.
3. The coverage provided under this endorsement shall be applicable for a period of twenty-four (24) consecutive months following the effective date of the first renewal to which this present Endorsement is attached. At expiration of this twenty-four (24) month period, this Endorsement shall be null and void.
4. **ADDITIONAL CONDITIONS**
 - 4.1. **EXCLUSIONS ADDED TO THE INSURED'S NEW INTACT POLICY**
The following exclusions, which apply to current Intact customers, shall be added to the Insured's new Intact policy:
 - 4.1.1. **Virus and Bacteria Exclusion**
This exclusion does not insure against loss or damage caused directly or indirectly, in whole or in part, by any virus, bacterium or other micro-organism that induces or is capable of inducing physical distress, illness or disease. This exclusion applies whether or not there are one or more other causes or events (whether covered or not) that contribute concurrently or in any sequence to the occasioning of the loss or damage.
 - 4.1.2. **Cyber Incident Exclusion**
This exclusion does not insure against loss or damage caused directly or indirectly by a **cyber incident**.
Such loss or damage is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss or damage.
 - 4.2. **CHANGES TO COVERAGES PREVIOUSLY AFFORDED UNDER THE INSURED'S EQUIPMENT BREAKDOWN COVERAGE POLICY**
The following changes shall be made to coverages previously afforded under the Insured's Equipment Breakdown Policy:
 - 4.2.1. **No Coverage for Vandalism and Malicious Acts (only applicable to Insureds previously covered under Form(s) BM1 or BM2 – Comprehensive Machinery Insurance or Form 3001 – Equipment Breakdown Insurance)**
Under the new Intact Equipment Breakdown Elite Form, there is an exclusion that does not insure against loss or damage arising directly or indirectly from vandalism or malicious acts.

4.2.2. **No Coverage for Refrigeration Equipment Including Compressors, Motors and Piping**

Under the new Intact Equipment Breakdown Elite Form, if there is not an adequate supply of R22 or R142b refrigerant stored at the insured **Location** and/or locally available for use at the insured **Location** in order to complete a repair, such refrigeration equipment (including compressors, motors and piping) shall be considered as uninsured objects and no liability from the Insurer may exist for either direct or indirect damage.

5. DEFINITIONS

The following Definitions are added for the purposes of this Endorsement:

- 5.1. **Computer system** means any computer, hardware, media, electronic or digital **data**, software, communications or networking system, electronic device (including but not limited to smart phones, laptops, tablets, wearable devices), server, cloud or microcontroller including any similar system or any configuration of the aforementioned and including any associated input, output, **data** storage device, networking equipment or back-up facility.
- 5.2. **Cyber incident** means:
 - 5.2.1. Unauthorized access to or use of any **computer system**;
 - 5.2.2. Malicious code, virus or any other harmful code that is directed at, enacted upon or introduced into any **computer system** and is designed to access, alter, corrupt, damage, delete, destroy, disrupt, encrypt, exploit, use or prevent or restrict access to or the use of any part of any **computer system** or otherwise disrupt its normal functioning or operation; or
 - 5.2.3. Denial of service attack which disrupts, prevents or restricts access to or use of any **computer system**, or otherwise disrupts its normal functioning or operation.
- 5.3. **Data** means representations of information or concepts, in any form.
- 5.4. **Insured** means the Insured Named on the Declaration Page(s).
- 5.5. **Insurer** means the Company or Companies providing this insurance.
- 5.6. **Location** means the premises owned by, leased by, controlled by or occupied by the **Insured** as reported to the **Insurer** prior to the inception date of this Policy or subsequently endorsed to this Policy.

All other terms, conditions and limitations of the Policy remain unchanged.